

Appendix T: Business Templates

Appendix T - Business Ownership Templates and Tools

Introduction

This appendix provides comprehensive practical templates, forms, and tools to support CNC business ownership and management. These templates are designed to be customizable for your specific shop needs and can be adapted for different scales of operation—from solo shops to multi-employee operations.

Complete Contents:

Section 1-4: Business Planning and Startup (Part 1) - Business Concept Worksheets - Legal Structure Comparison Matrix - Pre-Launch Readiness Checklist - Comprehensive Business Plan Template - Startup Cost Worksheets - Funding Sources Planning - Equipment Purchase Decision Matrix

Section 5: Financial Management and Accounting (Part 2) - Chart of Accounts for CNC Machine Shops - Monthly Bookkeeping Checklist - Key Performance Indicators (KPI) Dashboard - Job Costing Worksheet - Cash Flow Projection (13-Week) - Customer Profitability Analysis - Break-Even Analysis Template

Section 6-7: Tax Planning and Employee Management (Part 3) - Annual Tax Planning Checklist - Mileage Log Template - Home Office Deduction Worksheet - Job Description Template - Interview Question Bank - Employee Onboarding Checklist - Performance Review Template

Section 8: Equipment Purchasing and Vendor Management (Part 4) - Equipment Evaluation Scorecard - Equipment ROI Calculator - Vendor Evaluation Matrix - Purchase Order Template - Receiving Inspection Report - Vendor Performance Scorecard

Section 9: Sales, Marketing, and Customer Management (Part 5) - Quote Request Form - Quotation Template - Customer Information Form - Customer Communication Log - Customer Satisfaction Survey - Marketing Plan Template - Sales Pipeline Tracker

Section 10: Operations, Risk Management, and Growth Planning (Part 6) - Production Schedule Template - Quality Control Inspection Report - Corrective Action Request (CAR) Form - Risk Assessment Matrix - Strategic Growth Plan - Exit Strategy Planning Worksheet

All templates support **Module 26 (Business Ownership)** with ready-to-use business management tools covering accounting, taxes, employees, equipment purchasing, vendor management, sales, marketing, operations, risk management, and strategic growth planning.

Section 1: Business Planning Templates

1.1 Business Concept Worksheet

Purpose: Define your business vision before diving into details.

BUSINESS CONCEPT DEFINITION

Business Name Ideas:

1. _____
2. _____
3. _____

Primary Business Type: (check one)

- ☐ Job Shop (Custom one-off parts)
☐ Production Shop (Repeat production runs)
☐ Prototype Shop (R&D and development work)
☐ Niche Specialist (Specific industry/material/process)
☐ Repair/Modification Shop
☐ Hybrid (specify): _____

Core Services Offered:

1. _____
2. _____
3. _____
4. _____
5. _____

Target Market/Industries:

Primary: _____
 Secondary: _____
 Tertiary: _____

Unique Value Proposition:

What makes your shop different/better?

Geographic Service Area:

- ☐ Local only (_____ mile radius)
☐ Regional (specify): _____
☐ National (shipping capability)
☐ International

Initial Scale:

- ☐ Solo operation (just me)
☐ Partnership (_____ partners)
☐ Small team (_____ employees)

Your Relevant Experience:

Years in CNC machining: _____
 Years in business management: _____
 Years in target industries: _____

Key Skills You Bring:

Technical: _____
 Business: _____
 Industry: _____

Key Skills You Need to Develop/Hire:

Success Metrics (Define what "success" means to you):

Year 1: -----

Year 3: -----

Year 5: -----

Personal Goals:

Income goal: \$_____/year by year -----

Work-life balance goal: _____ hours/week

Growth ambition: (describe)

1.2 Legal Structure Comparison Matrix

Purpose: Compare business structure options to choose the right one.

LEGAL STRUCTURE COMPARISON

Rate each factor (1-10, 10 = most important to you):

Importance ratings:

----- Liability protection

----- Tax flexibility

----- Ease of setup

----- Ongoing compliance burden

----- Credibility with customers

----- Ability to raise capital

----- Profit distribution flexibility

----- Exit strategy options

Structure Comparison:

+-----+ SOLE PROPRIETORSHIP +-----+		
Setup Complexity:	(Simplest)	
Liability Protection:	(None - personal assets at risk)	
Tax Treatment:	Pass-through (Schedule C)	
Ongoing Compliance:	(Minimal)	
Credibility:		
Cost to Setup:	\$50-500 (DBA, licenses)	
Annual Fees:	\$0-200	
BEST FOR:	Testing the waters, very small operations, low-risk	
AVOID IF:	Significant equipment investment, employee plans	
+-----+		

+-----+ LIMITED LIABILITY COMPANY (LLC) +-----+		
Setup Complexity:	(Moderate)	
Liability Protection:	(Strong, if properly maintained)	
Tax Treatment:	Flexible (pass-through or S-corp election)	

Ongoing Compliance:	(Annual reports, operating agreement)
Credibility:	
Cost to Setup:	\$500-2,000 (state filing + legal)
Annual Fees:	\$100-800 (varies by state)
BEST FOR: Most CNC shops - balance of protection and simplicity	
RECOMMENDED FOR: Anyone with significant equipment or employees	

+-----+

+-----+

	S CORPORATION	
Setup Complexity:	(More complex)	
Liability Protection:	(Strong)	
Tax Treatment:	Salary + distributions (potential savings)	
Ongoing Compliance:	(Payroll, corporate minutes)	
Credibility:		
Cost to Setup:	\$1,000-3,000	
Annual Fees:	\$500-2,000 (accounting, compliance)	
BEST FOR: Profitable shops (\$75k+ profit) wanting tax optimization		
NOTE: Can elect S-corp status as an LLC (best of both worlds)		

+-----+

+-----+

	C CORPORATION	
Setup Complexity:	(Most complex)	
Liability Protection:	(Strongest)	
Tax Treatment:	Double taxation (corporate + personal)	
Ongoing Compliance:	(Extensive)	
Credibility:		
Cost to Setup:	\$2,000-5,000+	
Annual Fees:	\$2,000-5,000+ (legal, accounting)	
BEST FOR: Large operations, seeking investors, going public		
RARELY NEEDED: For typical CNC shops (LLC or S-corp is better)		

+-----+

YOUR DECISION MATRIX:

Structure under consideration: _____

Pros for my situation:

1. _____
2. _____
3. _____

Cons for my situation:

1. _____
2. _____
3. _____

Questions for attorney/accountant:

1. _____
2. _____
3. _____

Decision: _____ Date: _____
Reason: _____

1.3 Pre-Launch Readiness Checklist

Purpose: Ensure you're truly ready before launching.

PRE-LAUNCH READINESS ASSESSMENT

Rate each area: Ready ([check]), Needs Work (), Not Started ()

TECHNICAL READINESS:

- ☐ CNC programming proficiency (CAM software)
- ☐ Setup and work-holding expertise
- ☐ Tooling knowledge and management
- ☐ Quality control and inspection skills
- ☐ Troubleshooting and problem-solving ability
- ☐ Multiple machine type experience (mill, lathe, etc.)
- ☐ Various material experience (metals, plastics, etc.)
- ☐ Blueprint reading and GD&T understanding
- ☐ Fixture design capability
- ☐ Process optimization skills

Technical Readiness Score: ____/10

Gaps to address:

1. _____
2. _____
3. _____

BUSINESS READINESS:

- ☐ Basic accounting knowledge
- ☐ Pricing and estimating skills
- ☐ Contract negotiation experience
- ☐ Customer service aptitude
- ☐ Time management discipline
- ☐ Marketing/sales capability
- ☐ Computer/software proficiency
- ☐ Written communication skills
- ☐ Problem customer handling ability
- ☐ Cash flow management understanding

Business Readiness Score: ____/10

Gaps to address:

1. _____
2. _____
3. _____

FINANCIAL READINESS:

- ☐ 6+ months personal living expenses saved
- ☐ Startup capital identified (\$_____ available)
- ☐ Credit score 680+ (for financing if needed)
- ☐ Personal budget reduced/optimized
- ☐ Family financial backup plan in place
- ☐ Health insurance solution identified
- ☐ Retirement savings plan (even if paused temporarily)
- ☐ Emergency fund separate from business (\$_____)
- ☐ Debt load manageable (monthly payments: \$_____)
- ☐ Realistic financial projections completed

Financial Readiness Score: ____/10

Critical gaps (MUST address before launch):

1. _____
2. _____

PERSONAL READINESS:

- ☐ Family support secured (spouse, partner, dependents)
- ☐ Time commitment understood (60-80 hrs/week year 1)
- ☐ Stress management strategies in place
- ☐ Support network identified (mentors, peers)
- ☐ Backup plans for key life events (health, family)
- ☐ Realistic expectations set (not overnight success)
- ☐ Patience for slow initial growth
- ☐ Ability to work alone for extended periods
- ☐ Thick skin for rejection/criticism
- ☐ Long-term commitment (3-5 year minimum mindset)

Personal Readiness Score: ____/10

Concerns to address:

1. _____
2. _____
3. _____

RESOURCE READINESS:

- ☐ Equipment identified (own or access)
- ☐ Facility identified (space, utilities, zoning)
- ☐ Insurance quotes obtained
- ☐ Software licenses budgeted
- ☐ Tooling inventory planned
- ☐ Vendor accounts established/planned
- ☐ Professional service providers identified:
 - ☐ Attorney
 - ☐ Accountant
 - ☐ Insurance agent
 - ☐ Banker
- ☐ Website/online presence planned
- ☐ Legal structure decided

Resource Readiness Score: ____/10

Items to secure:

1. _____
2. _____
3. _____

OVERALL READINESS:

Technical: _____/10
 Business: _____/10
 Financial: _____/10
 Personal: _____/10
 Resource: _____/10

 Total: _____/50

Interpretation:

40-50: Ready to launch (address any critical gaps first)
 30-39: Nearly ready (give yourself 3-6 months to prepare)
 20-29: Need significant preparation (6-12 months)
 Below 20: Not yet ready (focus on skill/resource building)

LAUNCH DECISION:

Planned launch date: _____

Pre-launch action items:

1. _____ by _____
2. _____ by _____
3. _____ by _____
4. _____ by _____
5. _____ by _____

Go/No-Go Decision Date: _____

Notes:

Section 2: Comprehensive Business Plan Template

2.1 Executive Summary Framework

Purpose: Create a compelling overview of your business (write this LAST, after completing other sections).

EXECUTIVE SUMMARY

(1-2 pages maximum)

Business Name: _____

Business Structure: _____

Location: _____

Owner(s): _____

Contact: _____

THE OPPORTUNITY:

(What problem does your shop solve? What market gap?)

THE SOLUTION:

(Your services, capabilities, unique approach)

TARGET MARKET:

Primary customers: _____

Market size: \$_____ (local/regional)

Your realistic capture: ____% (year 1), ____% (year 3)

COMPETITIVE ADVANTAGE:

(Why customers will choose you over established shops)

1. _____
2. _____
3. _____

FINANCIAL HIGHLIGHTS:

Startup costs: \$_____

Funding sources: \ (_____ (own), \) _____ (loan/investors)

Year 1 revenue projection: \$_____

Year 1 net profit projection: \$_____

Break-even timeline: _____ months

KEY SUCCESS FACTORS:

1. _____
2. _____
3. _____

FUNDING REQUEST (if applicable):

Amount needed: \$_____

Use of funds: _____

Repayment plan: _____

2.2 Company Description

COMPANY DESCRIPTION

BUSINESS OVERVIEW:

[Your Shop Name] is a [type of shop] CNC machining business located in [city, state]. We specialize in [primary services] for [target industries].

Founded: _____

Structure: _____
Owner(s): _____

MISSION STATEMENT:

(What you do, for whom, how you're different - 1-2 sentences)

VISION STATEMENT:

(Where you want to be in 5-10 years - 1-2 sentences)

CORE VALUES:

1. _____
2. _____
3. _____
4. _____
5. _____

BUSINESS OBJECTIVES:

Year 1:

- Revenue: \$_____
- Customers: _____ active accounts
- Capabilities: _____
- _____

Year 3:

- Revenue: \$_____
- Customers: _____ active accounts
- Capabilities: _____
- Equipment additions: _____
- _____

Year 5:

- Revenue: \$_____
- Customers: _____ active accounts
- Team size: _____ employees
- Facilities: _____
- _____

KEYS TO SUCCESS:

1. _____
2. _____
3. _____
4. _____
5. _____

2.3 Services and Capabilities

SERVICES OFFERED

PRIMARY SERVICES:

1. _____ (% of expected revenue: ___%)
Description: _____
Target margin: ____%
2. _____ (% of expected revenue: ___%)
Description: _____
Target margin: ____%
3. _____ (% of expected revenue: ___%)
Description: _____
Target margin: ____%

SECONDARY SERVICES:

1. _____ (% of expected revenue: ___%)
2. _____ (% of expected revenue: ___%)

SERVICE DIFFERENTIATION:

What makes our services superior/different:

- _____
- _____
- _____

CAPABILITIES MATRIX:

Materials:

- ☐ Aluminum (all alloys)
☐ Steel (mild, alloy, tool steel)
☐ Stainless steel
☐ Brass/Bronze
☐ Titanium
☐ Plastics (specify): _____
☐ Exotics (specify): _____

Processes:

- ☐ 3-axis milling
☐ 4-axis milling
☐ 5-axis milling
☐ CNC turning
☐ Swiss turning
☐ EDM (wire, sinker)
☐ Grinding (surface, cylindrical)
☐ Assembly
☐ Welding/fabrication
☐ Finishing (specify): _____

Tolerances:

Standard: +/- _____"
Precision: +/- _____"
Special capabilities: _____

Size Ranges:

Milling: ____" x ____" x ____" (max envelope)
Turning: ____" diameter x ____" length (max)
Weight capacity: _____ lbs

Volume Capabilities:

Prototype/R&D: _____ pieces/run
Short run: _____ to _____ pieces/run
Production: _____ to _____ pieces/run
Large volume: _____ + pieces/run

Quality Systems:

[___] ISO 9001 certified
[___] ISO 9001 planned (by: _____)
[___] AS9100 certified (aerospace)
[___] ITAR registered
[___] ISO 13485 (medical)
[___] Customer-specific certifications: _____

Inspection Equipment:

[___] CMM (size: _____)
[___] Optical comparator
[___] Surface finish tester
[___] Hardness tester
[___] Precision measuring tools (micrometers, calipers, etc.)
[___] Other: _____

SERVICES NOT OFFERED:

(But might refer out or add later)

- _____
- _____
- _____

FUTURE CAPABILITY ROADMAP:

Year 1 additions: _____
Year 2 additions: _____
Year 3 additions: _____

2.4 Market Analysis

MARKET ANALYSIS

INDUSTRY OVERVIEW:

Custom CNC machining market (your geographic area):

Estimated size: \$_____ annually

Growth rate: ____% per year

Key trends affecting the industry:

- _____
- _____
- _____

TARGET MARKET SEGMENTS:

Primary Segment:

Industry: _____

Typical customer profile: _____

Their typical needs: _____

Annual market size (your area): \$_____

Number of potential customers: _____
Typical order value: \(_____ to \)_____
Order frequency: _____
Decision makers: _____
Buying cycle: _____

Why they'll choose us:

1. _____
2. _____
3. _____

Secondary Segment:

Industry: _____
Typical customer profile: _____
Their typical needs: _____
Annual market size (your area): \$_____
Number of potential customers: _____
Typical order value: \(_____ to \)_____
Order frequency: _____

Tertiary Segment (if applicable):

Industry: _____
Annual market size: \$_____

CUSTOMER NEEDS ANALYSIS:

What customers value most (rank 1-10):

- _____ Price (lowest cost)
- _____ Quality (zero defects)
- _____ Speed (quick turnaround)
- _____ Consistency (repeat reliability)
- _____ Technical expertise (engineering support)
- _____ Communication (responsive, clear)
- _____ Flexibility (rush jobs, changes)
- _____ Capacity (can handle volume)
- _____ Certifications (ISO, AS9100, etc.)
- _____ Proximity (local pickup/delivery)

Our shop's strengths (rank same 1-10):

- _____ Price
- _____ Quality
- _____ Speed
- _____ Consistency
- _____ Technical expertise
- _____ Communication
- _____ Flexibility
- _____ Capacity
- _____ Certifications
- _____ Proximity

Gaps to address: _____

MARKET ENTRY STRATEGY:

Phase 1 (Months 1-6):

Focus: _____
Target: _____ customers, \$_____ revenue/month
Approach: _____

Phase 2 (Months 7-12):

Focus: _____
Target: _____ customers, \$_____ revenue/month
Expansion: _____

Phase 3 (Year 2+):

Focus: _____
Target: _____ customers, \$_____ revenue/month
Growth strategy: _____

2.5 Competitive Analysis

COMPETITIVE ANALYSIS

DIRECT COMPETITORS:

Competitor #1:

Name: _____
Location: _____
Size: _____ employees, estimated \$_____ revenue
Strengths:

- _____
- _____

Weaknesses:

- _____
- _____

Market position: _____

Their typical customer: _____

How we'll differentiate: _____

Competitor #2:

Name: _____
Location: _____
Size: _____ employees, estimated \$_____ revenue
Strengths:

- _____
- _____

Weaknesses:

- _____
- _____

Market position: _____

How we'll differentiate: _____

Competitor #3:

Name: _____
Location: _____
Size: _____ employees, estimated \$_____ revenue
Strengths:

- -----
- -----

Weaknesses:

- -----
- -----

Market position: -----

How we'll differentiate: -----

COMPETITIVE POSITIONING MATRIX:

		Low Price <-----> Premium Price
High Quality ↑		Competitor ___: [mark position]
		Competitor ___: [mark position]
		OUR SHOP: [mark position]
		Competitor ___: [mark position]
	↓	
Low Quality		

		Fast Delivery <-----> Long Lead Time
Large Volume ↑		Competitor ___: [mark position]
		OUR SHOP: [mark position]
		Competitor ___: [mark position]
	↓	
Small Batches		

OUR COMPETITIVE ADVANTAGES:

1. -----
2. -----
3. -----
4. -----
5. -----

BARRIERS TO ENTRY (protecting us from new competitors):

- Capital requirements: \$_____ equipment investment
- -----
- -----
- -----

THREATS:

- Customer in-sourcing (buying their own equipment)
- Offshore competition (low-cost countries)
- 3D printing/additive manufacturing alternatives
- Automation reducing labor advantage
- Other: -----

OPPORTUNITIES:

- Dissatisfaction with current suppliers
- Industry growth/new customers
- Competitor retirement/exit
- Technology changes favoring our approach
- Other: -----

Section 3: Startup Costs and Funding

3.1 Comprehensive Startup Cost Worksheet

Purpose: Calculate total funds needed before opening.

STARTUP COSTS CALCULATION

ONE-TIME COSTS:

EQUIPMENT:

Item	New Price	Used Price	Chosen
CNC Mill #1	\(_____	\)_____	\$_____
CNC Lathe #1	\(_____	\)_____	\$_____
Additional machine:			
-----	\(_____	\)_____	\$_____
Inspection equipment (CMM, comparator, etc.)	\(_____	\)_____	\$_____
Shop tools & fixtures	\(_____	\)_____	\$_____
Tooling inventory	\(_____	\)_____	\$_____
Workholding (vises, chucks, jaws, etc.)	\(_____	\)_____	\$_____
Material handling (crane, forklift, carts)	\(_____	\)_____	\$_____
Computers & software	\(_____	\)_____	\$_____
Office furniture	\(_____	\)_____	\$_____
Shop furniture/storage	\(_____	\)_____	\$_____
Safety equipment	\(_____	\)_____	\$_____
EQUIPMENT TOTAL:			\$_____

FACILITY SETUP:

Rent deposit (typically 1-2 months)	\$ _____
Utility deposits (electric, gas, water)	\$ _____
Electrical installation/upgrades	\$ _____
Compressed air system	\$ _____
Coolant management system	\$ _____
Chip/waste handling	\$ _____
HVAC modifications	\$ _____
Lighting upgrades	\$ _____
Floor modifications/epoxy	\$ _____
Partitions/office buildout	\$ _____
Signage (exterior & interior)	\$ _____
Security system	\$ _____
FACILITY TOTAL:	\$ _____

LEGAL & PROFESSIONAL:

Business formation (LLC, S-corp, etc.)	\$_____
Attorney fees (contract	

review, etc.) \$ _____
 Accountant setup (books, systems) \$ _____
 Business license fees \$ _____
 Permits (building, zoning, environmental) \$ _____
 Trademark/IP (if applicable) \$ _____
 LEGAL & PROFESSIONAL TOTAL: \$ _____

INSURANCE (first year):
 General liability \$ _____
 Property insurance \$ _____
 Equipment insurance \$ _____
 Workers compensation (if employees) \$ _____
 Commercial auto (if vehicle) \$ _____
 Professional liability \$ _____
 INSURANCE TOTAL: \$ _____

MARKETING & BRANDING:
 Logo & brand design \$ _____
 Website development \$ _____
 Business cards/literature \$ _____
 Initial advertising \$ _____
 Trade show booth/materials \$ _____
 Photography (shop, parts) \$ _____
 MARKETING & BRANDING TOTAL: \$ _____

INITIAL INVENTORY:
 Raw material stock \$ _____
 Consumables (cutting tools, inserts, etc.) \$ _____
 Shop supplies (coolant, lubricants, etc.) \$ _____
 Office supplies \$ _____
 INITIAL INVENTORY TOTAL: \$ _____

SOFTWARE & TECHNOLOGY:
 CAM software licenses \$ _____
 Accounting software \$ _____
 Estimating software \$ _____
 Customer management (CRM) \$ _____
 Domain & hosting (1 year) \$ _____
 SOFTWARE & TECHNOLOGY TOTAL: \$ _____

MISCELLANEOUS:
 Contingency (10-15% of total) \$ _____
 Other: _____ \$ _____
 Other: _____ \$ _____
 MISCELLANEOUS TOTAL: \$ _____

TOTAL ONE-TIME COSTS: \$ _____

WORKING CAPITAL (first 6 months operating expenses):

FIXED MONTHLY COSTS x 6 months:

Rent	\(_____/mo x 6 = \)	_____
Utilities	\(_____/mo x 6 = \)	_____
Insurance (prorated)	\(_____/mo x 6 = \)	_____
Loan payments	\(_____/mo x 6 = \)	_____
Software subscriptions	\(_____/mo x 6 = \)	_____
Internet/phone	\(_____/mo x 6 = \)	_____
Professional services (accounting, etc.)	\(_____/mo x 6 = \)	_____
FIXED COSTS (6 mo): \$		_____

VARIABLE MONTHLY COSTS x 6 months (at 50% capacity):

Materials	\(_____/mo x 6 = \)	_____
Tooling/consumables	\(_____/mo x 6 = \)	_____
Subcontracting	\(_____/mo x 6 = \)	_____
Shipping	\(_____/mo x 6 = \)	_____
Marketing	\(_____/mo x 6 = \)	_____
VARIABLE COSTS (6 mo): \$		_____

OWNER'S DRAW (living expenses):

Personal living expenses	\(_____/mo x 6 = \)	_____
--------------------------	---------------------	-------

WORKING CAPITAL TOTAL: \$_____

TOTAL STARTUP FUNDING REQUIRED:

One-time costs:	\$_____
Working capital (6 months):	\$_____

GRAND TOTAL:	\$_____
Safety margin (add 20%):	\$_____

RECOMMENDED FUNDING TARGET:	\$_____

3.2 Funding Sources Worksheet

FUNDING SOURCES

PERSONAL FUNDS:

Savings available	\$_____
Retirement account (401k loan/withdrawal - be cautious!)	\$_____
Home equity available	\$_____
Personal loan potential	\$_____
Sale of assets	\$_____
PERSONAL TOTAL:	\$_____

BUSINESS LOANS:

SBA 7(a) Loan:

Maximum considering: \$_____

Estimated rate: ____%
Term: ____ years
Monthly payment: \$_____
Collateral required: _____

Equipment Financing:
Amount: \$_____
Rate: ____%
Term: ____ years
Monthly payment: \$_____
Down payment required: ____%

Business Line of Credit:
Amount: \$_____
Rate: ____%
Purpose: Working capital, short-term needs

Other Loan:
Source: _____
Amount: \$_____
Terms: _____

BUSINESS LOANS TOTAL: \$_____

INVESTORS/PARTNERS:
Partner equity contribution \$_____
Angel investor \$_____
Terms/equity given: _____

INVESTORS/PARTNERS TOTAL: \$_____

ALTERNATIVE FUNDING:
Equipment leasing (reduces upfront) \$_____
Vendor financing/payment terms \$_____
Customer deposits/prepayments \$_____
Crowdfunding \$_____
Grants (manufacturing, small business) \$_____
ALTERNATIVE FUNDING TOTAL: \$_____

TOTAL FUNDING AVAILABLE: \$_____

FUNDING GAP ANALYSIS:
Total needed (from previous sheet): \$_____
Total available (from above): \$_____

Gap (shortfall): \$_____

If gap exists, options:
☐ Reduce startup costs (how?): _____
☐ Phase equipment purchases (start with less)
☐ Start part-time (keep day job initially)
☐ Find additional investors/partners
☐ Delay launch until more capital saved
☐ Seek additional loan sources

ACTION PLAN:

1. _____
2. _____
3. _____

3.3 Equipment Purchase Decision Matrix

EQUIPMENT PURCHASE DECISIONS

For each major equipment purchase:

MACHINE: _____

OPTION A: NEW MACHINE

Manufacturer: _____

Model: _____

Price: \$ _____

Warranty: _____

Delivery time: _____

Training included: _____

Service availability: _____

Pros:

- _____
- _____
- _____

Cons:

- _____
- _____

OPTION B: USED MACHINE

Year: _____ Manufacturer: _____

Model: _____

Price: \$ _____

Condition: _____

Hours/usage: _____

Included: _____

Warranty: _____

Pros:

- _____
- _____
- _____

Cons:

- _____
- _____
- _____

OPTION C: LEASE

Provider: _____

Model: _____

Monthly payment: \$ _____
Term: _____ months
Buyout option: \$ _____
Maintenance included: _____

Pros:

- _____
- _____
- _____

Cons:

- _____
- _____

OPTION D: DELAY/ALTERNATIVE

Alternative approach: _____

Cost: \$ _____

DECISION FACTORS:

Financial Impact:

Option A total cost (5 years): \$ _____
Option B total cost (5 years): \$ _____
Option C total cost (5 years): \$ _____
Option D total cost (5 years): \$ _____

Capability Impact:

Jobs we can take with this machine: _____
Estimated annual revenue enabled: \$ _____
Estimated annual profit contribution: \$ _____

Risk Assessment:

Reliability concern (1-10): _____
Service availability (1-10): _____
Obsolescence risk (1-10): _____
Capacity match to needs (1-10): _____

DECISION: Option _____ chosen

Rationale:

Purchase timeline: _____

Financing arrangement: _____

Section 4: Business Plan Financial Projections

4.1 Revenue Projections (3-Year)

REVENUE PROJECTIONS

YEAR 1 - STARTUP PHASE

Monthly Breakdown:

	Customers	Avg Invoice	Revenue
Month 1 (launch)	----	\(-----	\)-----
Month 2	----	\(-----	\)-----
Month 3	----	\(-----	\)-----
Month 4	----	\(-----	\)-----
Month 5	----	\(-----	\)-----
Month 6	----	\(-----	\)-----
Month 7	----	\(-----	\)-----
Month 8	----	\(-----	\)-----
Month 9	----	\(-----	\)-----
Month 10	----	\(-----	\)-----
Month 11	----	\(-----	\)-----
Month 12	----	\(-----	\)-----
		YEAR 1 TOTAL: \$	-----

Year 1 by Service Type:

-----: ____% = \$-----
-----: ____% = \$-----
-----: ____% = \$-----
-----: ____% = \$-----

YEAR 2 - GROWTH PHASE

Quarterly Breakdown:

Q1: _____ customers, avg \(\)-----
Q2: _____ customers, avg \(\)-----
Q3: _____ customers, avg \(\)-----
Q4: _____ customers, avg \(\)-----
YEAR 2 TOTAL: \$-----

Growth rate vs Year 1: ____%

YEAR 3 - ESTABLISHED PHASE

Quarterly Breakdown:

Q1: _____ customers, avg \(\)-----
Q2: _____ customers, avg \(\)-----
Q3: _____ customers, avg \(\)-----
Q4: _____ customers, avg \(\)-----
YEAR 3 TOTAL: \$-----

Growth rate vs Year 2: ____%

ASSUMPTIONS:

Customer acquisition: _____ new customers/month (year 1)
Customer retention rate: ____%
Repeat business frequency: _____ orders/year per customer
Average order growth: ____% per year
Price increases: ____% annually
Capacity utilization: ____% (year 1), ____% (year 2), ____% (year 3)

Notes on projections:

4.2 Cost of Goods Sold (COGS) Projections

COST OF GOODS SOLD (COGS)

Expected COGS as % of revenue: _____%

BREAKDOWN:

Direct Materials:

Expected cost: _____% of revenue

Year 1: \$_____

Year 2: \$_____

Year 3: \$_____

Direct Labor (if applicable):

Expected cost: _____% of revenue

Year 1: \$_____

Year 2: \$_____

Year 3: \$_____

Tooling & Consumables:

Expected cost: _____% of revenue

Year 1: \$_____

Year 2: \$_____

Year 3: \$_____

Subcontracting:

Expected cost: _____% of revenue

Year 1: \$_____

Year 2: \$_____

Year 3: \$_____

Shop Supplies:

Expected cost: _____% of revenue

Year 1: \$_____

Year 2: \$_____

Year 3: \$_____

TOTAL COGS:

Year 1: \$_____ (____% of revenue)

Year 2: \$_____ (____% of revenue)

Year 3: \$_____ (____% of revenue)

GROSS PROFIT:

Year 1: \$_____ (____% margin)

Year 2: \$_____ (____% margin)

Year 3: \$_____ (____% margin)

Target vs Actual tracking:
 Target gross margin: ____%
 Minimum acceptable margin: ____%
 Actions if below minimum: _____

4.3 Operating Expenses Projections

OPERATING EXPENSES (Overhead)

FIXED EXPENSES (monthly):

Facility:

Rent/mortgage	\$_____ /mo
Property tax (if owned)	\$_____ /mo
Insurance (building, liability)	\$_____ /mo
Utilities (electric, gas, water)	\$_____ /mo
Internet/phone	\$_____ /mo
Security/alarm	\$_____ /mo
Waste removal	\$_____ /mo
Subtotal:	\$_____ /mo

Equipment:

Loan/lease payments	\$_____ /mo
Equipment insurance	\$_____ /mo
Maintenance contracts	\$_____ /mo
Subtotal:	\$_____ /mo

Administrative:

Owner's salary/draw	\$_____ /mo
Office supplies	\$_____ /mo
Accounting/bookkeeping	\$_____ /mo
Legal fees (average)	\$_____ /mo
Bank fees	\$_____ /mo
Software subscriptions	\$_____ /mo
Professional development	\$_____ /mo
Subtotal:	\$_____ /mo

TOTAL FIXED MONTHLY:	\$_____ /mo
TOTAL FIXED ANNUAL:	\$_____ /yr

VARIABLE EXPENSES (% of revenue):

Marketing & advertising	___% = \$_____ (yr 1)
Sales commissions (if any)	___% = \$_____ (yr 1)
Shipping & freight	___% = \$_____ (yr 1)
Credit card fees	___% = \$_____ (yr 1)
Misc/contingency	___% = \$_____ (yr 1)

TOTAL OPERATING EXPENSES:

Year 1:

Fixed:	\$_____
Variable:	\$_____
Total:	\$_____ (____% of revenue)

Year 2:
 Fixed: \$_____ (___% increase)
 Variable: \$_____
 Total: \$_____ (____% of revenue)

Year 3:
 Fixed: \$_____ (___% increase)
 Variable: \$_____
 Total: \$_____ (____% of revenue)

4.4 Pro Forma Profit & Loss (3-Year)

PRO FORMA PROFIT & LOSS STATEMENT

	Year 1	Year 2	Year 3
REVENUE	\(_____	\)_____	\$_____
COST OF GOODS SOLD	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
GROSS PROFIT	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
OPERATING EXPENSES:			
Fixed costs	\(_____	\)_____	\$_____
Variable costs	\(_____	\)_____	\$_____
Total Operating Expenses	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
EBITDA (operating profit)	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
Depreciation	\(_____	\)_____	\$_____
Interest	\(_____	\)_____	\$_____
NET PROFIT (before tax)	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
Taxes (estimated at ___%)	\(_____	\)_____	\$_____
NET PROFIT (after tax)	\(_____	\)_____	\$_____
	(___%)	(___%)	(___%)
Owner's draw/salary	\(_____	\)_____	\$_____
Retained earnings	\(_____	\)_____	\$_____

BREAK-EVEN ANALYSIS:

Monthly fixed costs: \$_____
 Average gross margin: ____%
 Monthly revenue needed to break even: \$_____

Annual revenue needed: \$_____

Expected break-even month: _____ (month #)

Notes and assumptions:

This completes Part 1 of Appendix T with comprehensive business planning and startup templates!

Section 5: Financial Management and Accounting Templates

5.1 Chart of Accounts for CNC Machine Shops

Purpose: Standard account structure for consistent bookkeeping.

CHART OF ACCOUNTS - CNC MACHINE SHOP

ASSETS (1000-1999)

Current Assets (1000-1499):

1000 - Cash - Operating Account
1010 - Cash - Payroll Account
1020 - Cash - Tax Savings Account
1030 - Petty Cash
1050 - Accounts Receivable
1051 - Allowance for Doubtful Accounts
1100 - Inventory - Raw Materials
1110 - Inventory - Work in Process (WIP)
1120 - Inventory - Finished Goods
1130 - Inventory - Tooling & Consumables
1140 - Inventory - Shop Supplies
1200 - Prepaid Expenses
1210 - Prepaid Insurance
1220 - Prepaid Rent
1230 - Security Deposits

Fixed Assets (1500-1799):

1500 - Land
1510 - Buildings
1511 - Accumulated Depreciation - Buildings
1520 - Leasehold Improvements
1521 - Accumulated Depreciation - Leasehold Improvements
1530 - CNC Mills
1531 - Accumulated Depreciation - CNC Mills
1540 - CNC Lathes
1541 - Accumulated Depreciation - CNC Lathes
1550 - Grinders
1551 - Accumulated Depreciation - Grinders
1560 - EDM Machines
1561 - Accumulated Depreciation - EDM
1570 - Inspection Equipment (CMM, etc.)

1571 - Accumulated Depreciation - Inspection Equipment
1580 - Shop Equipment (cranes, forklifts, etc.)
1581 - Accumulated Depreciation - Shop Equipment
1590 - Office Equipment & Furniture
1591 - Accumulated Depreciation - Office Equipment
1600 - Computers & Software
1601 - Accumulated Depreciation - Computers & Software
1610 - Vehicles
1611 - Accumulated Depreciation - Vehicles
1620 - Tooling (long-life, capitalized)
1621 - Accumulated Depreciation - Tooling

Other Assets (1800-1999):

1800 - Long-term Investments
1900 - Intangible Assets (patents, trademarks)
1910 - Goodwill

LIABILITIES (2000-2999)

Current Liabilities (2000-2499):

2000 - Accounts Payable
2010 - Credit Cards Payable
2020 - Sales Tax Payable
2030 - Payroll Liabilities - Federal
2031 - Payroll Liabilities - State
2032 - Payroll Liabilities - FICA
2033 - Payroll Liabilities - Medicare
2034 - Payroll Liabilities - 401k
2035 - Payroll Liabilities - Health Insurance
2040 - Accrued Wages
2050 - Customer Deposits
2100 - Current Portion - Long-term Debt
2110 - Line of Credit
2200 - Accrued Expenses
2210 - Accrued Interest

Long-term Liabilities (2500-2999):

2500 - Equipment Loans
2510 - Building Mortgage
2520 - SBA Loan
2530 - Vehicle Loans
2600 - Deferred Revenue

EQUITY (3000-3999)

3000 - Owner's Equity (or Member's Equity for LLC)
3010 - Owner's Draw
3020 - Retained Earnings
3030 - Current Year Earnings

REVENUE (4000-4999)

4000 - CNC Milling Revenue
4010 - CNC Turning Revenue

- 4020 - Grinding Revenue
- 4030 - EDM Revenue
- 4040 - Assembly Revenue
- 4050 - Engineering/Design Revenue
- 4060 - Inspection Services Revenue
- 4070 - Rush Job Premiums
- 4080 - Shipping & Handling (charged to customers)
- 4090 - Other Revenue
- 4900 - Discounts Given
- 4950 - Returns & Allowances

COST OF GOODS SOLD (5000-5999)

Direct Materials (5000-5099):

- 5000 - Aluminum
- 5010 - Steel
- 5020 - Stainless Steel
- 5030 - Brass/Bronze
- 5040 - Titanium
- 5050 - Plastics
- 5060 - Other Materials
- 5090 - Material Freight In
- 5095 - Material Scrap/Waste

Direct Labor (5100-5199):

- 5100 - Machinist Wages
- 5110 - Setup Labor
- 5120 - Quality Control Labor
- 5130 - Direct Labor Burden (benefits)

Tooling & Consumables (5200-5299):

- 5200 - Cutting Tools (inserts, end mills, drills)
- 5210 - Tool Holders
- 5220 - Workholding (vises, jaws, fixtures)
- 5230 - Abrasives
- 5240 - Coolant
- 5250 - Lubricants
- 5260 - Shop Rags & Cleaners

Subcontracting (5300-5399):

- 5300 - Outside Processing (heat treat, plating, etc.)
- 5310 - Outsourced Machining
- 5320 - Subcontract Labor

Other COGS (5400-5499):

- 5400 - Shipping Costs (to customers)
- 5410 - Packaging Materials
- 5420 - Quality Certifications (material certs, etc.)

OPERATING EXPENSES (6000-8999)

Facility Expenses (6000-6299):

- 6000 - Rent or Lease
- 6010 - Property Taxes

- 6020 - Building Insurance
- 6030 - Building Repairs & Maintenance
- 6040 - Utilities - Electric
- 6041 - Utilities - Gas
- 6042 - Utilities - Water/Sewer
- 6050 - Janitorial Services
- 6060 - Security
- 6070 - Waste Removal

Equipment Expenses (6300-6599):

- 6300 - Equipment Repairs & Maintenance
- 6310 - Equipment Insurance
- 6320 - Equipment Lease Payments
- 6330 - Small Tools & Equipment (<\$500)
- 6340 - Calibration Services
- 6350 - Preventive Maintenance Supplies

Administrative Expenses (6600-6899):

- 6600 - Office Supplies
- 6610 - Postage & Shipping
- 6620 - Telephone & Internet
- 6630 - Software Subscriptions
- 6640 - Computer Supplies
- 6650 - Bank Fees & Charges
- 6660 - Merchant Fees (credit card processing)
- 6670 - Legal Fees
- 6680 - Accounting & Bookkeeping
- 6690 - Consulting Fees
- 6700 - Dues & Subscriptions
- 6710 - Training & Education
- 6720 - Travel & Entertainment
- 6730 - Meals & Entertainment
- 6740 - Auto Expenses
- 6750 - Fuel
- 6760 - Licenses & Permits
- 6770 - Business Insurance (general liability, etc.)

Payroll Expenses (7000-7299):

- 7000 - Salaries - Management
- 7010 - Salaries - Administrative
- 7020 - Salaries - Sales
- 7030 - Payroll Taxes
- 7040 - Employee Benefits
- 7041 - Health Insurance
- 7042 - Retirement Plan Contributions
- 7043 - Workers Compensation Insurance
- 7050 - Employee Training
- 7060 - Uniforms & PPE

Marketing & Sales (7300-7599):

- 7300 - Advertising
- 7310 - Website Costs
- 7320 - Marketing Materials
- 7330 - Trade Shows

7340 - Sales Commissions
7350 - Customer Entertainment
7360 - Samples & Demos

Other Operating Expenses (7600-7999):

7600 - Depreciation Expense
7610 - Amortization Expense
7620 - Bad Debt Expense
7630 - Charitable Contributions
7900 - Miscellaneous Expense

NON-OPERATING INCOME & EXPENSES (8000-8999)

8000 - Interest Income
8010 - Investment Income
8020 - Gain/Loss on Asset Sales
8100 - Interest Expense
8110 - Finance Charges
8200 - Taxes - Income Tax
8210 - Taxes - Personal Property Tax

5.2 Monthly Bookkeeping Checklist

Purpose: Ensure consistent, accurate books every month.

MONTHLY BOOKKEEPING CHECKLIST

Month: _____ Year: _____

DAILY TASKS (or as transactions occur):

☐ Record all sales invoices
☐ Record all cash receipts
☐ Make bank deposits
☐ Record all expenses (receipts organized)
☐ Record all credit card charges
☐ Update job costing records
☐ Monitor accounts receivable aging

WEEKLY TASKS:

☐ Reconcile petty cash
☐ Review aged receivables (follow up on overdue)
☐ Review job profitability
☐ Process employee time cards
☐ Review cash position

MONTHLY TASKS:

Week 1 of Month (for previous month):

☐ Download and review all bank statements
☐ Download and review all credit card statements
☐ Reconcile all bank accounts
☐ Reconcile all credit card accounts
☐ Categorize any uncategorized transactions
☐ Review and correct any errors

Week 2 of Month:

- ☐ Generate Accounts Receivable aging report
- ☐ Follow up on all invoices >30 days
- ☐ Send statements to customers with balances
- ☐ Review Accounts Payable aging
- ☐ Schedule payments for upcoming bills
- ☐ Review inventory levels

Week 3 of Month:

- ☐ Run Profit & Loss statement
- ☐ Run Balance Sheet
- ☐ Review for unusual items or errors
- ☐ Calculate and verify sales tax owed
- ☐ Review payroll liabilities
- ☐ Update budget vs actual comparison
- ☐ Review cash flow projection

Week 4 of Month:

- ☐ Meet with accountant/bookkeeper (if applicable)
- ☐ File sales tax return (if due)
- ☐ Make estimated tax payment (if due)
- ☐ Update financial dashboard
- ☐ Review key metrics (see Section 5.3)
- ☐ Archive financial documents

INVENTORY TASKS (monthly or quarterly):

- ☐ Physical count of raw materials
- ☐ Physical count of tooling inventory
- ☐ Compare physical to system records
- ☐ Adjust for shrinkage/waste
- ☐ Review slow-moving or obsolete inventory
- ☐ Update inventory valuation

PAYROLL TASKS (as applicable):

- ☐ Process payroll (weekly, bi-weekly, or monthly)
- ☐ File payroll tax forms
- ☐ Make payroll tax deposits
- ☐ Review labor cost vs budget
- ☐ Update employee records

QUARTERLY TASKS:

- ☐ File quarterly payroll tax returns (941, state)
- ☐ Review and pay estimated income taxes
- ☐ Review insurance coverage
- ☐ Perform detailed inventory review
- ☐ Review pricing and margins
- ☐ Update financial projections

ANNUAL TASKS:

- ☐ Prepare for year-end close
- ☐ Organize tax documents
- ☐ Issue 1099s to contractors (by Jan 31)
- ☐ Issue W-2s to employees (by Jan 31)
- ☐ File annual business tax return

[___] Review depreciation schedules
[___] Update fixed asset records
[___] Review and renew business licenses

NOTES/ISSUES TO DISCUSS WITH ACCOUNTANT:

Completed by: _____ Date: _____
Reviewed by: _____ Date: _____

5.3 Key Performance Indicators (KPI) Dashboard

Purpose: Track the vital signs of your business monthly.

MONTHLY KPI DASHBOARD

Month: _____ Year: _____

FINANCIAL METRICS:

Revenue:

This month: \$_____ (change: ___%)
Last month: \$_____ (change: ___%)
Same month last year: \$_____ (change: ___%)
Year-to-date: \$_____
Target: \$_____ (variance: ___%)

Gross Profit:

This month: \$_____ (margin: ___%)
Last month: \$_____ (margin: ___%)
Same month last year: \$_____ (margin: ___%)
Year-to-date: \$_____ (margin: ___%)
Target margin: ___% (variance: ___%)

Net Profit:

This month: \$_____ (margin: ___%)
Last month: \$_____ (margin: ___%)
Year-to-date: \$_____ (margin: ___%)
Target: \$_____ (variance: ___%)

Operating Expenses:

Total: \$_____ (___% of revenue)
Target: ___% (variance: ___%)

CASH METRICS:

Cash Balance:

Operating account: \$_____
All accounts: \$_____
Change from last month: \$_____

Accounts Receivable:

Total AR: \$_____

Current (0-30 days): \$_____
31-60 days: \$_____
61-90 days: \$_____
Over 90 days: \$_____
Average collection period: _____ days

Accounts Payable:
Total AP: \$_____
Current: \$_____
Past due: \$_____

Cash Flow:
Operating cash flow: \$_____
Free cash flow: \$_____
Days cash on hand: _____ days

OPERATIONAL METRICS:

Orders/Jobs:
New orders this month: _____
Jobs completed: _____
Average order value: \$_____
Win rate: ___% (quotes won/quotes given)

Customer Metrics:
Total active customers: _____
New customers this month: _____
Lost customers this month: _____
Repeat customer rate: ___%
Customer concentration (top 3): ___%

Capacity Utilization:
Machine hours available: _____
Machine hours billable: _____
Utilization rate: ___%
Target: ___% (variance: ___%)

Productivity:
Revenue per machine hour: \$_____
Revenue per employee: \$_____
Setup time avg: _____ min
Cycle time avg: _____ min

Quality Metrics:
First-pass yield: ___%
Scrap rate: ___%
Rework rate: ___%
Customer returns: _____ parts

Delivery Performance:
On-time delivery rate: ___%
Average lead time: _____ days
Rush jobs: ___% of total

EFFICIENCY RATIOS:

Gross margin: ___%

Operating margin: ___%

Net margin: ___%

ROA (return on assets): ___%

ROE (return on equity): ___%

Current ratio: _____ (current assets/current liabilities)

Quick ratio: _____ (quick assets/current liabilities)

Debt-to-equity ratio: _____

LEADING INDICATORS:

Quote activity: _____ quotes issued

Quote backlog: \$ _____

Sales pipeline: \$ _____

Website traffic: _____ visitors

New leads: _____

Marketing qualified leads: _____

TREND ANALYSIS:

Status indicators (vs target):

Revenue: [___] On track [___] Below [___] Above

Profitability: [___] On track [___] Below [___] Above

Cash flow: [___] Healthy [___] Tight [___] Critical

Customer growth: [___] Growing [___] Stable [___] Declining

Utilization: [___] Optimal [___] Low [___] Maxed

RED FLAGS TO WATCH:

[___] Cash below \$ _____ (critical level)

[___] Days receivable > _____ days

[___] Gross margin < ___%

[___] Utilization < ___%

[___] Customer concentration > ___%

[___] Operating expenses > ___% of revenue

ACTIONS NEEDED:

1. _____
2. _____
3. _____

WINS THIS MONTH:

1. _____
2. _____
3. _____

Reviewed by: _____ Date: _____

5.4 Job Costing Worksheet

Purpose: Track profitability on every job.

JOB COSTING WORKSHEET

Job Number: _____ Date: _____
Customer: _____
Part Number: _____
Description: _____
Quantity: _____ Due Date: _____

QUOTED COSTS:

Material:
Type: _____ Size: _____
Quantity: _____ Unit cost: \$ _____
Total material cost: \$ _____

Setup Time:
Estimated hours: _____ Rate: \$____/hr
Setup cost: \$ _____

Run Time:
Estimated hours: _____ Rate: \$____/hr
Run cost: \$ _____

Outside Services:
Heat treat: \$ _____
Plating/coating: \$ _____
Other: \$ _____
Total outside: \$ _____

Tooling (if special):
Tools required: _____
Cost: \$ _____

Total Direct Costs: \$ _____
Overhead allocation (____% of direct): \$ _____
Total Cost: \$ _____

Desired margin: ____%
Quoted Price: \$ _____

ACTUAL COSTS:

Material:
Actual used: _____ Actual cost: \$ _____
Scrap/waste: _____ Scrap cost: \$ _____
Total actual material: \$ _____
Variance: \$ _____ (____%)

Setup Time:
Actual hours: _____ Rate: \$____/hr
Actual setup cost: \$ _____
Variance: \$ _____ (____%)

Run Time:
Actual hours: _____ Rate: \$____/hr

Actual run cost: \$_____
Variance: \$_____ (___%)

Outside Services:
Actual costs: \$_____
Variance: \$_____ (___%)

Tooling:
Actual cost: \$_____
Variance: \$_____ (___%)

Rework (if any):
Hours: _____ Cost: \$_____

Total Actual Direct Costs: \$_____
Actual overhead: \$_____
Total Actual Cost: \$_____

Selling Price: \$_____
Actual Profit: \$_____
Actual Margin: ___%

VARIANCE ANALYSIS:

Material variance: \$_____
Reason: _____

Labor variance: \$_____
Reason: _____

Overhead variance: \$_____
Reason: _____

Total variance: \$_____ (___%)

LESSONS LEARNED:

What went well:

What went wrong:

Estimating adjustments for next time:

Should we quote similar jobs? [___] Yes [___] No

Notes:

Completed by: _____ Date: _____

5.5 Cash Flow Projection (13-Week)

Purpose: Forecast cash position to avoid surprises.

13-WEEK CASH FLOW PROJECTION

Starting date: _____

	Week 1	Week 2	Week 3	Week 4	Week 5	Week 6	Week 7	
BEGINNING CASH	\(____	\)____	\(____	\)____	\(____	\)____		\$____
CASH IN:								
Collections	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Customer deposits	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Loan proceeds	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Other income	\(____	\)____	\(____	\)____	\(____	\)____		\$____
TOTAL CASH IN	\(____	\)____	\(____	\)____	\(____	\)____		\$____
CASH OUT:								
Material purchases	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Tooling/supplies	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Payroll	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Payroll taxes	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Rent/mortgage	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Utilities	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Insurance	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Loan payments	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Equipment lease	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Subcontractors	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Marketing	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Sales tax	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Income tax	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Other expenses	\(____	\)____	\(____	\)____	\(____	\)____		\$____
Owner draw	\(____	\)____	\(____	\)____	\(____	\)____		\$____
TOTAL CASH OUT	\(____	\)____	\(____	\)____	\(____	\)____		\$____
NET CASH FLOW (In minus Out)	\(____	\)____	\(____	\)____	\(____	\)____		\$____
ENDING CASH	\(____	\)____	\(____	\)____	\(____	\)____		\$____

Week 8	Week 9	Week 10	Week 11	Week 12	Week 13
-----------	-----------	------------	------------	------------	------------

BEGINNING CASH \(___ \)___ \(___ \)___ \(___ \)___

[Same categories repeated for weeks 8-13]

ENDING CASH \(___ \)___ \(___ \)___ \(___ \)___

MINIMUM CASH TARGET: \$_____

Weeks below minimum: _____

Actions to address shortfalls:

[___] Accelerate collections

[___] Delay non-critical payments

[___] Use line of credit

[___] Reduce owner draw

[___] Other: _____

ASSUMPTIONS:

Collection timing: _____

Large upcoming expenses: _____

Seasonal factors: _____

Growth rate: _____

Notes:

Prepared by: _____ Date: _____

Review date: _____ Next update: _____

5.6 Customer Profitability Analysis

Purpose: Identify which customers are truly profitable.

CUSTOMER PROFITABILITY ANALYSIS

Period: _____ to _____

Customer: _____

REVENUE:

Total invoiced: \$_____

Number of jobs: _____

Average job size: \$_____

Payment terms: Net _____

DIRECT COSTS:

Material: \$_____

Labor: \$_____

Tooling: \$_____

Outside services: \$_____

Total direct costs: \$_____

Gross profit: \$_____ (margin: ___%)

INDIRECT COSTS ATTRIBUTED:

Time/Effort:

Quoting time: _____ hours @ \(___ /hr = \)_____

Engineering support: _____ hours @ \(___ /hr = \)_____

Rework/quality issues: _____ hours @ \(___ /hr = \)_____

Communication overhead: _____ hours @ \(___ /hr = \)_____

Other:

Tooling storage/management: \$_____

Rush job disruptions (cost): \$_____

Special packaging: \$_____

Shipping costs not recovered: \$_____

Credit card/payment fees: \$_____

Bad debt/late payment: \$_____

Total indirect: \$_____

TRUE PROFIT: \$_____ (margin: ___%)

CUSTOMER ASSESSMENT:

Payment behavior:

Average days to pay: _____ (terms: Net _____)

On-time payment %: ___%

Payment disputes: _____ instances

Bad debt history: \$_____

Order characteristics:

Average order frequency: _____ per _____

Order size trend: [___] Growing [___] Stable [___] Declining

Rush orders: ___% of total

Engineering changes: _____ per job (avg)

Quality issues: _____ per job (avg)

Communication:

Responsiveness: [___] Excellent [___] Good [___] Poor

Clarity of specs: [___] Excellent [___] Good [___] Poor

Reasonable expectations: [___] Yes [___] Sometimes [___] No

Growth potential:

Expected next year revenue: \$_____

New opportunities identified: _____ (value: \$_____)

Referral potential: [___] High [___] Medium [___] Low

CUSTOMER CLASSIFICATION:

[___] A Customer (High profit, low hassle, growth potential)

Action: Nurture and grow

[___] B Customer (Decent profit, reasonable to work with)

Action: Maintain, look for growth opportunities

[___] C Customer (Low profit, but strategic or has potential)
Action: Improve efficiency, re-negotiate if possible

[___] D Customer (Low/negative profit, high hassle)
Action: Re-price or exit relationship

ACTIONS:

1. _____
2. _____
3. _____

Price increase justified? [___] Yes [___] No

If yes, proposed increase: ___%

Implementation date: _____

Completed by: _____ Date: _____

5.7 Break-Even Analysis Template

Purpose: Understand how much revenue you need to survive.

BREAK-EVEN ANALYSIS

Analysis period: _____ to _____

FIXED COSTS (monthly):

Facility:

Rent/mortgage	\$_____
Insurance (property, liability)	\$_____
Utilities (base amount)	\$_____
Internet/phone	\$_____
Subtotal:	\$_____

Equipment:

Loan/lease payments	\$_____
Equipment insurance	\$_____
Software subscriptions	\$_____
Subtotal:	\$_____

Administrative:

Salaries (fixed)	\$_____
Accounting/bookkeeping	\$_____
Legal (average)	\$_____
Bank fees	\$_____
Subtotal:	\$_____

TOTAL MONTHLY FIXED COSTS:	\$_____
ANNUAL FIXED COSTS:	\$_____

VARIABLE COSTS (per dollar of revenue):

Materials	___%
-----------	------

Direct labor	---	%
Tooling/consumables	---	%
Outside services	---	%
Sales commissions	---	%
Credit card fees	---	%

TOTAL VARIABLE COST %:	---	%
------------------------	-----	---

CONTRIBUTION MARGIN:		
(100% - variable cost %)	---	%

BREAK-EVEN CALCULATION:

Monthly break-even revenue:

Fixed costs / contribution margin %
 \ (_____ / ____% = \) _____ / month

Daily break-even revenue:

Monthly break-even / _____ working days
 \ (_____ / _____ = \) _____ / day

Hourly break-even revenue (if running ____ hrs/day):

Daily break-even / _____ hours
 \ (_____ / _____ = \) _____ / hour

Annual break-even revenue:

Monthly break-even x 12
 \ (_____ x 12 = \) _____ / year

SCENARIO ANALYSIS:

Current monthly revenue: \$ _____
 Above/(below) break-even: \$ _____

Target monthly revenue: \$ _____
 Cushion above break-even: \$ _____ (__%)

What if fixed costs increase ____% (new equipment, etc.)?

New fixed costs: \$ _____
 New break-even: \$ _____ / month
 Revenue increase needed: \$ _____

What if we improve margins by ____%?

New contribution margin: ____%
 New break-even: \$ _____ / month
 Revenue reduction tolerance: \$ _____

UNIT BREAK-EVEN (optional):

Average selling price per unit: \$ _____
 Variable cost per unit: \$ _____

Contribution margin per unit: \$_____

Break-even units:

Fixed costs / contribution margin per unit
\\(_____ / \\)_____ = _____ units/month

IMPLICATIONS:

Minimum jobs per month (@ \$_____ average):
_____ jobs

Minimum billable machine hours (@ \$_____/hr):
_____ hours

Current capacity: _____ hours/month
Break-even utilization: ____%

RISK ASSESSMENT:

Safety margin (current revenue above break-even): ____%
Time to break-even if starting from zero: _____ months
Cash runway at current burn rate: _____ months

ACTIONS TO IMPROVE BREAK-EVEN:

Reduce fixed costs:

1. _____
2. _____

Improve contribution margin:

1. _____
2. _____

Increase revenue:

1. _____
2. _____

Prepared by: _____ Date: _____
Review frequency: _____ (quarterly recommended)

This completes Part 2 of Appendix T with comprehensive financial management and accounting templates!

Section 6: Tax Planning and Compliance

6.1 Annual Tax Planning Checklist

Purpose: Organize tax obligations and maximize deductions.

ANNUAL TAX PLANNING CHECKLIST

Tax Year: _____

BUSINESS ENTITY TAX OBLIGATIONS:

Entity Type: [___] Sole Prop [___] LLC [___] S-Corp [___] C-Corp

Federal Returns Required:

[___] Schedule C (Sole Prop) - Due: April 15
[___] Form 1065 (Partnership) - Due: March 15
[___] Form 1120S (S-Corp) - Due: March 15
[___] Form 1120 (C-Corp) - Due: April 15 (or Sept 15 if fiscal year)

State Returns Required:

[___] State income tax return - Due: _____
[___] State business tax - Due: _____
[___] Other: _____ - Due: _____

Quarterly Estimated Taxes:

[___] Q1 (April 15): \$_____
[___] Q2 (June 15): \$_____
[___] Q3 (Sept 15): \$_____
[___] Q4 (Jan 15): \$_____

Employment Tax Returns (if applicable):

[___] Form 941 (quarterly payroll) - Due: last day of month after quarter
 Q1 (April 30): \$_____
 Q2 (July 31): \$_____
 Q3 (Oct 31): \$_____
 Q4 (Jan 31): \$_____
[___] Form 940 (annual FUTA) - Due: Jan 31
[___] State unemployment taxes - Frequency: _____

Sales Tax Returns:

[___] State sales tax - Frequency: _____ Due: _____
[___] Local sales tax - Frequency: _____ Due: _____

Information Returns:

[___] W-2 forms (employees) - Due: Jan 31
[___] 1099-NEC (contractors >\$600) - Due: Jan 31
[___] 1099-MISC (rent, services >\$600) - Due: Jan 31
[___] 1099-INT (interest >\$10) - Due: Jan 31

DEDUCTION TRACKING:

Equipment Purchases (Section 179 or Bonus Depreciation):

Item	Date	Cost	Method
-----	-----	\$-----	-----
-----	-----	\$-----	-----
-----	-----	\$-----	-----
		TOTAL: \$-----	

Vehicle Expenses:

[___] Standard mileage (_____ miles @ \(___ /mile = \)_____)

[___] Actual expenses (fuel, insurance, repairs, etc.): \$_____

Method chosen: _____ Deduction: \$_____

Home Office (if applicable):

Square footage: _____ of _____ (___%)

OR Simplified (\(5/sq ft, max 300 sq ft): \)_____

Method chosen: _____ Deduction: \$_____

Business Meals & Entertainment:

Deductible meals (50%): \$_____

Client entertainment (limitations apply): \$_____

Travel Expenses:

Airfare: \$_____

Hotels: \$_____

Rental cars: \$_____

Other: \$_____

Total: \$_____

Professional Development:

Training/courses: \$_____

Books/subscriptions: \$_____

Professional dues: \$_____

Total: \$_____

Insurance Premiums:

Business liability: \$_____

Property/equipment: \$_____

Health insurance (self-employed): \$_____

Workers comp: \$_____

Total: \$_____

ESTIMATED TAX CALCULATION:

Projected Revenue: \$_____

- Projected COGS: \$_____

= Gross Profit: \$_____

- Operating Expenses: \$_____

- Depreciation: \$_____

= Net Business Income: \$_____

+ Other Income: \$_____

- Other Deductions: \$_____

= Total Taxable Income: \$_____

Estimated Tax Owed:

Federal income tax (___% rate): \$_____

Self-employment tax (if applicable): \$_____

State income tax (___% rate): \$_____

TOTAL ESTIMATED TAX: \$_____

/ 4 quarters = \$_____ per quarter

YEAR-END TAX STRATEGIES:

Income Timing:

- ☐ Delay invoicing to next year (if cash basis)
- ☐ Accelerate collections into current year
- ☐ Review timing of large jobs

Expense Timing:

- ☐ Accelerate deductible expenses into current year
- ☐ Pre-pay next year's expenses (if cash basis)
- ☐ Make equipment purchases before year-end

Retirement Contributions:

- ☐ SEP-IRA contribution: \$_____ (up to 25% of net income)
- ☐ Solo 401(k) contribution: \ (_____ (up to \)66,000 for 2024)
- ☐ SIMPLE IRA: \ (_____ (up to \)16,000 for 2024)

Tax Credits Available:

- ☐ Research & Development credit
- ☐ Work Opportunity Tax Credit (hiring certain groups)
- ☐ Energy Efficiency credits
- ☐ Other: _____

RECORD RETENTION:

Tax returns and supporting documents: _____ years (minimum 3, recommend 7)

Payroll records: _____ years (minimum 4)

Asset purchase records: _____ years (life of asset + 3)

Contracts: _____ years (life of contract + 3)

PROFESSIONAL SUPPORT:

Accountant/CPA: _____

Contact: _____

Fee: \$_____ (annual)

Tax prep fee: \$_____

Tax attorney (if needed): _____

Contact: _____

Payroll service: _____

Contact: _____

Fee: \$_____ (monthly/annual)

DEADLINES CALENDAR:

January:

- ☐ 15th - Q4 estimated tax payment
- ☐ 31st - W-2s and 1099s issued
- ☐ 31st - Form 940 (FUTA)
- ☐ 31st - Q4 Form 941

March:

[___] 15th - Partnership/S-Corp tax return

April:

[___] 15th - Q1 estimated tax payment

[___] 15th - Individual tax return (if Sole Prop/LLC)

[___] 30th - Q1 Form 941

June:

[___] 15th - Q2 estimated tax payment

July:

[___] 31st - Q2 Form 941

September:

[___] 15th - Q3 estimated tax payment

October:

[___] 15th - Extended return deadline (if filed extension)

[___] 31st - Q3 Form 941

Notes:

6.2 Mileage Log Template

Purpose: Document vehicle use for tax deductions.

BUSINESS MILEAGE LOG

Year: _____ Vehicle: _____ Starting odometer: _____

Date	Start Odom	End Odom	Total Miles	Destination/Purpose	Business Miles
-----	-----	-----	-----	-----	-----
-----	-----	-----	-----	-----	-----
-----	-----	-----	-----	-----	-----
-----	-----	-----	-----	-----	-----
-----	-----	-----	-----	-----	-----
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-----	-----	-----	-----	-----	-----
-----	-----	-----	-----	-----	-----

Month: _____ Total business miles: _____

End of year totals:
Total miles driven (all purposes): _____
Business miles: _____
Personal miles: _____
Business use %: _____%

DEDUCTION CALCULATION:

Method 1 - Standard Mileage:
Business miles: _____ x \(___ /mile = \) _____

Method 2 - Actual Expenses:
Fuel: \$ _____
Insurance: \$ _____
Repairs/maintenance: \$ _____
Tires: \$ _____
Registration: \$ _____
Depreciation: \$ _____
Other: \$ _____
Total: \$ _____
Business use %: _____%
Deduction: \$ _____

Method chosen: _____ Deduction: \$ _____

Notes: Cannot switch from actual to standard after using actual
in first year, unless vehicle is leased.

6.3 Home Office Deduction Worksheet

Purpose: Calculate deduction if operating from home.

HOME OFFICE DEDUCTION WORKSHEET

Tax Year: _____

ELIGIBILITY CHECK:

- ☐ Space is used exclusively for business (no personal use)
- ☐ Space is used regularly for business (not occasional)
- ☐ Space is principal place of business OR
- ☐ Used to meet clients/customers regularly OR
- ☐ Separate structure (garage, studio) used for business

If all checked, you qualify for home office deduction.

METHOD 1: SIMPLIFIED METHOD

Home office square footage: _____ (maximum 300)
Rate: \$5 per square foot
Deduction: _____ sq ft x \5 = \) _____

Pros: Simple, no depreciation recapture
Cons: Limited to \$1,500, can't deduct actual expenses

METHOD 2: ACTUAL EXPENSE METHOD

Home measurements:

Total home square footage: _____
Business space square footage: _____
Business percentage: _____% (business / total)

Direct expenses (100% deductible):

Paint/repairs for office space only: \$_____
Office-specific improvements: \$_____
Total direct: \$_____

Indirect expenses (business % deductible):

Mortgage interest: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Property taxes: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Homeowners insurance: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Utilities (electric, gas, water): $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Home internet: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Trash removal: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
HOA fees: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Security system: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Home repairs/maintenance: $\backslash(\text{_____} \times \text{___}\% = \backslash)$ _____
Total indirect: \$_____

Depreciation (if home is owned):

Home basis (original cost + improvements): \$_____
Minus land value: \$_____
Depreciable basis: \$_____
x Business percentage: _____%
Business portion: \$_____
/ 39 years (residential)
Annual depreciation: \$_____

TOTAL ACTUAL EXPENSE METHOD:

Direct expenses: \$_____
Indirect expenses: \$_____
Depreciation: \$_____
TOTAL DEDUCTION: \$_____

COMPARISON:

Simplified method: \$_____
Actual expense method: \$_____

Recommended method: _____

IMPORTANT NOTES:

- [] Home office deduction cannot create a loss (limited to business income)
- [] Unused deduction can be carried forward
- [] If selling home, depreciation claimed must be recaptured
- [] Keep detailed records and photos documenting exclusive business use

Prepared by: _____ Date: _____

Section 7: Employee Management Templates

7.1 Job Description Template

Purpose: Create clear expectations for positions.

JOB DESCRIPTION

Position Title: _____
Department: _____
Reports To: _____
FLSA Status: [___] Exempt [___] Non-exempt
Employment Type: [___] Full-time [___] Part-time
Pay Range: \(_____ to \)_____ per [hour/year]
Date: _____

POSITION SUMMARY:

(2-3 sentence overview of the role)

PRIMARY RESPONSIBILITIES:

(List 5-8 main duties in order of importance, with % of time)

1. _____ (___%)

2. _____ (___%)

3. _____ (___%)

4. _____ (___%)

5. _____ (___%)

6. _____ (___%)

7. _____ (___%)

SECONDARY RESPONSIBILITIES:

- _____
- _____
- _____

REQUIRED QUALIFICATIONS:

Education:

- ☐ High school diploma or equivalent
☐ Associate degree in _____
☐ Bachelor's degree in _____
☐ Technical certification: _____
☐ Other: _____

Experience:

_____ years in CNC machining/manufacturing
_____ years in [specific process/industry]
Experience with [specific equipment/software]: _____

Technical Skills:

- ☐ CNC programming (specify): _____
☐ Blueprint reading and GD&T
☐ Setup and work-holding
☐ Inspection and quality control
☐ CAM software: _____
☐ Specific machines: _____
☐ Materials knowledge: _____

Certifications/Licenses:

- ☐ Forklift operator
☐ Crane operator
☐ Other: _____

PREFERRED QUALIFICATIONS:

- _____
- _____
- _____

PHYSICAL REQUIREMENTS:

- ☐ Ability to lift up to _____ lbs
☐ Prolonged standing (_____ hours/day)
☐ Manual dexterity for precision work
☐ Visual acuity for inspection
☐ Ability to work in shop environment (noise, temperature)
☐ Other: _____

WORKING CONDITIONS:

Environment: Shop floor with machine noise, coolant, etc.
Hours: _____ shift, _____ hours/week
Overtime: ☐ Required occasionally ☐ Seasonal ☐ Rare
Travel: _____% (if any)

COMPETENCIES & SOFT SKILLS:

- ☐ Attention to detail
☐ Problem-solving ability
☐ Self-motivation and initiative
☐ Communication skills (written and verbal)
☐ Teamwork and collaboration
☐ Time management
☐ Adaptability

[___] Safety consciousness
[___] Continuous improvement mindset
[___] Customer service orientation

KEY PERFORMANCE INDICATORS:

- Quality: First-pass yield of ____%
- Productivity: _____ hours billable/day
- Safety: Zero accidents
- On-time completion: ____%
- Other: _____

ADVANCEMENT OPPORTUNITIES:

Next level position: _____
Typical timeframe: _____ years
Required development: _____

COMPENSATION & BENEFITS:

Starting pay: \$_____ per [hour/year]
Pay review frequency: _____
Benefits eligibility: _____ days after start
Benefits offered:
[___] Health insurance
[___] Dental insurance
[___] Vision insurance
[___] Retirement plan (____% match)
[___] Paid time off (_____ days/year)
[___] Paid holidays (_____ days/year)
[___] Professional development allowance
[___] Tool allowance
[___] Other: _____

COMPANY OVERVIEW:

(Brief description of your shop, culture, values)

EQUAL OPPORTUNITY STATEMENT:

[Your Shop Name] is an equal opportunity employer and does not discriminate based on race, color, religion, sex, national origin, age, disability, veteran status, or any other protected class.

Approved by: _____ Date: _____

7.2 Interview Question Bank

Purpose: Structured questions to assess candidates.

INTERVIEW QUESTION BANK - CNC MACHINIST

Candidate: _____ Position: _____
Date: _____ Interviewer: _____

TECHNICAL COMPETENCY QUESTIONS:

CNC Programming & Setup:

1. Walk me through your process for setting up a new job from blueprint to first piece.

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

2. What CAM software have you used? What's your proficiency level?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

3. Describe a time when you had to troubleshoot a program that wasn't cutting correctly. What was the issue and how did you fix it?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

4. How do you determine speeds and feeds for a new material or tool you haven't used before?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Blueprint Reading & GD&T:

5. Can you explain what True Position means and how you would inspect it? (Show symbol if possible)

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

6. What's the difference between concentricity and runout?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Quality & Inspection:

7. What inspection equipment have you used regularly? (micrometers, calipers, CMM, etc.)

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

8. Tell me about a time you caught a quality issue before it became a problem. What did you do?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Problem-Solving:

9. Describe your most challenging machining project. What made it difficult and how did you overcome the challenges?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

10. You're running a job and suddenly get chatter. Walk me through your diagnostic process.

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

BEHAVIORAL QUESTIONS:

Work Ethic & Reliability:

11. Tell me about a time when you had to work overtime or weekend to meet a deadline. How did you handle it?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

12. Describe your attendance record at your last job. Any patterns of call-offs or tardiness?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Teamwork & Communication:

13. How do you handle disagreements with coworkers or supervisors about how to approach a job?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

14. Give an example of when you had to train or help a less experienced machinist. How did you approach it?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Continuous Improvement:

15. What's the last new skill or technique you learned in machining? How did you learn it?

Answer: _____

Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

16. How do you stay current with new technologies and methods in machining?

Answer: _____
Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

Safety:

17. Describe your approach to shop safety. Any accidents or near-misses in the past? What did you learn?

Answer: _____
Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

SITUATIONAL QUESTIONS:

18. You discover that the previous shift ran 50 parts with dimensions out of tolerance. What do you do?

Answer: _____
Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

19. A customer needs a rush job that would require bumping other work. How would you handle this situation?

Answer: _____
Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

20. You're halfway through a large job and realize there's a more efficient way to make the part. What do you do?

Answer: _____
Rating: [___] Excellent [___] Good [___] Adequate [___] Poor

COMPANY FIT QUESTIONS:

21. Why are you leaving your current position?

Answer: _____
Red flags: [___] None [___] Minor concerns [___] Major concerns

22. What are you looking for in your next role?

Answer: _____
Alignment: [___] Excellent [___] Good [___] Fair [___] Poor

23. Where do you see yourself in 5 years?

Answer: _____

24. What's your salary expectation?

Answer: \$_____ per [hour/year]

Within budget? [___] Yes [___] Negotiable [___] No

25. Do you have any questions for me?

Questions asked: -----

Quality: [___] Thoughtful [___] Basic [___] None

PRACTICAL ASSESSMENT (if applicable):

[___] Blueprint reading test: ___/___

[___] Measurement quiz: ___/___

[___] Programming test: ___/___

[___] Machine operation demo: ___/___

REFERENCES:

Reference #1: _____ Relationship: _____

Will verify: [___] Yes [___] No - reason: _____

Reference #2: _____ Relationship: _____

Will verify: [___] Yes [___] No - reason: _____

Reference #3: _____ Relationship: _____

Will verify: [___] Yes [___] No - reason: _____

OVERALL ASSESSMENT:

Technical skills: [___] Excellent [___] Good [___] Fair [___] Poor

Problem-solving: [___] Excellent [___] Good [___] Fair [___] Poor

Communication: [___] Excellent [___] Good [___] Fair [___] Poor

Cultural fit: [___] Excellent [___] Good [___] Fair [___] Poor

Growth potential: [___] High [___] Medium [___] Low

Strengths:

1. -----

2. -----

3. -----

Concerns/Weaknesses:

1. -----

2. -----

3. -----

RECOMMENDATION:

[___] Strong hire - make offer

[___] Hire with reservations - discuss concerns

[___] Maybe - second interview needed

[___] No - not a fit

Proposed offer: \$_____ per [hour/year]

Start date: _____

Notes:

Interviewer signature: _____ Date: _____

7.3 Employee Onboarding Checklist

Purpose: Ensure smooth integration of new hires.

EMPLOYEE ONBOARDING CHECKLIST

Employee Name: _____

Position: _____

Start Date: _____ Department: _____

Manager/Supervisor: _____

PRE-ARRIVAL (before first day):

PAPERWORK & ADMINISTRATION:

- [___] Offer letter signed
- [___] Background check completed (if required)
- [___] Drug test completed (if required)
- [___] I-9 Employment Eligibility Verification
- [___] W-4 Federal Tax Withholding
- [___] State tax withholding forms
- [___] Direct deposit enrollment
- [___] Emergency contact information
- [___] Benefit enrollment forms (if applicable)
- [___] Employee handbook acknowledgment
- [___] Safety policies acknowledgment
- [___] Confidentiality/Non-compete agreement (if applicable)
- [___] Tool purchase agreement (if applicable)

WORKSPACE SETUP:

- [___] Workstation/locker assigned: #_____
- [___] Time clock/punch card setup
- [___] Safety equipment ordered:
 - [___] Safety glasses
 - [___] Steel-toed boots allowance
 - [___] Hearing protection
 - [___] Gloves
 - [___] Other: _____
- [___] Tools assigned (if company-provided):
 - [___] Calipers
 - [___] Micrometers
 - [___] Deburring tools
 - [___] Other: _____
- [___] Uniforms ordered (if provided): _____ shirts

- ☐ Computer account created (if needed)
- ☐ Email account set up (if needed)
- ☐ Building/shop access badge

FIRST DAY:

WELCOME & ORIENTATION:

- ☐ Welcome meeting with manager (_____ min)
- ☐ Tour of facility
- ☐ Introduction to team members
- ☐ Review job description and expectations
- ☐ Discuss probationary period (typically 90 days)
- ☐ Explain schedule and breaks
- ☐ Show location of:
 - ☐ Restrooms
 - ☐ Break room
 - ☐ First aid kit
 - ☐ Fire extinguishers
 - ☐ Emergency exits
 - ☐ Eyewash station
 - ☐ Material safety data sheets (MSDS)

ADMINISTRATIVE:

- ☐ Complete remaining paperwork
- ☐ Issue employee ID badge
- ☐ Provide parking information
- ☐ Set up time clock PIN
- ☐ Review timekeeping procedures
- ☐ Review pay schedule (dates, method)
- ☐ Provide employee handbook
- ☐ Review company policies:
 - ☐ Attendance and punctuality
 - ☐ Overtime policy
 - ☐ Break policy
 - ☐ Cell phone/personal device use
 - ☐ Dress code
 - ☐ Safety rules
 - ☐ Quality expectations
 - ☐ Harassment/discrimination policy

SAFETY TRAINING (Day 1 - CRITICAL):

- ☐ General shop safety rules
- ☐ Personal protective equipment (PPE) requirements
- ☐ Emergency procedures:
 - ☐ Fire evacuation
 - ☐ Severe weather
 - ☐ Medical emergency
 - ☐ Injury reporting
- ☐ Machine safety overview
- ☐ Lockout/tagout procedures
- ☐ Hazard communication (MSDS)
- ☐ Lifting techniques
- ☐ Forklift/crane safety (if applicable)
- ☐ Chemical/coolant safety

[___] First aid procedures

FIRST WEEK:

TECHNICAL TRAINING:

[___] Review of equipment they'll use:

Day 1: _____ with _____
Day 2: _____ with _____
Day 3: _____ with _____
Day 4: _____ with _____
Day 5: _____ with _____

[___] Company standards review:

[___] Quality procedures
[___] Inspection requirements
[___] Documentation (job travelers, time tracking)
[___] Tool management/checkout system
[___] Material handling procedures
[___] Setup sheets/process documentation

[___] Software training (if applicable):

[___] CAM software
[___] CNC controllers
[___] Job tracking system
[___] Time clock system

[___] Shadow experienced employee: _____
Date(s): _____ to _____

[___] Complete first supervised project

Project: _____
Supervisor: _____
Completion date: _____

FIRST 30 DAYS:

SKILL DEVELOPMENT:

[___] Week 2 check-in with manager
Date: _____ Notes: _____
[___] Week 3 check-in with manager
Date: _____ Notes: _____
[___] Week 4 check-in with manager
Date: _____ Notes: _____

PROGRESSIVE RESPONSIBILITY:

[___] Complete 3 simple jobs independently
Job #1: _____ Date: _____
Job #2: _____ Date: _____
Job #3: _____ Date: _____

[___] Demonstrate competency in:

[___] Setup procedures
[___] Program loading/editing
[___] Tool changes

☐ Work-holding
☐ Inspection
☐ Documentation

☐ 30-day performance review

Date: _____ Reviewer: _____

Performance: ☐ Exceeds ☐ Meets ☐ Below expectations

Areas of strength: _____

Areas for improvement: _____

Action plan: _____

60-DAY CHECK-IN:

☐ 60-day review meeting

Date: _____

Progress on 30-day action items: _____

Updated goals: _____

☐ Verify full independence in routine tasks

☐ Assess readiness for complex jobs

☐ Discuss any concerns or questions

90-DAY REVIEW (End of Probation):

☐ Formal 90-day performance evaluation

Date: _____

Overall rating: ☐ Excellent ☐ Good ☐ Satisfactory ☐ Needs improvement

☐ Decision meeting:

☐ Continue employment (pass probation)

☐ Extend probation (_____ days) - reason: _____

☐ Terminate - reason: _____

☐ If continuing:

☐ Confirm compensation

☐ Discuss career path

☐ Set performance goals for next 6 months

☐ Benefits enrollment (if not immediate)

☐ Update direct supervisor on status

ONGOING (First Year):

☐ 6-month review - Date: _____

☐ Annual review - Date: _____

☐ Continuous training plan developed

☐ Cross-training opportunities identified

CHECKLIST COMPLETION:

New Employee Signature: _____ Date: _____
Manager Signature: _____ Date: _____
HR/Owner Signature: _____ Date: _____

Notes/Comments:

7.4 Performance Review Template

Purpose: Structured annual or periodic employee evaluations.

EMPLOYEE PERFORMANCE REVIEW

Employee Name: _____
Position: _____
Department: _____
Review Period: _____ to _____
Review Date: _____
Reviewer: _____

RATING SCALE:

- 5 - Outstanding (consistently exceeds expectations)
- 4 - Exceeds Expectations (frequently surpasses goals)
- 3 - Meets Expectations (solid, reliable performance)
- 2 - Needs Improvement (some areas require development)
- 1 - Unsatisfactory (significant improvement required)

PERFORMANCE CATEGORIES:

1. TECHNICAL COMPETENCY Rating: _____

CNC Programming:

- ☐ Proficient in required CAM software
- ☐ Creates efficient, error-free programs
- ☐ Troubleshoots and optimizes programs
- ☐ Stays current with new techniques

Comments: _____

Setup & Work-holding:

- ☐ Efficient, accurate setups
- ☐ Selects appropriate work-holding
- ☐ Minimizes setup time
- ☐ Properly documents setups

Comments: _____

Machining Operations:

- ☐ Produces quality parts consistently
- ☐ Selects appropriate tools and parameters

- ☐ Adjusts for optimal results
- ☐ Maintains equipment properly

Comments: _____

Overall Technical Rating: _____ / 5

2. QUALITY OF WORK Rating: _____

- ☐ First-pass yield: ___% (target: ___%)
- ☐ Scrap rate: ___% (target: <___%)
- ☐ Inspection accuracy
- ☐ Attention to detail
- ☐ Follows specifications exactly

Specific examples: _____

Overall Quality Rating: _____ / 5

3. PRODUCTIVITY & EFFICIENCY Rating: _____

- ☐ Meets or exceeds production targets
- ☐ Billable hours: ___% (target: ___%)
- ☐ Minimizes downtime
- ☐ Works at appropriate pace
- ☐ Manages time effectively

Metrics:

Average parts per day: _____ (target: _____)

Setup time average: _____ (target: _____)

Comments: _____

Overall Productivity Rating: _____ / 5

4. RELIABILITY & ATTENDANCE Rating: _____

- ☐ Punctuality (on-time arrival)
- ☐ Attendance record
- ☐ Stays until work complete
- ☐ Reliable for overtime when needed
- ☐ Advance notice for absences

Record:

Absent: _____ days (unscheduled: _____)

Tardy: _____ times

Left early: _____ times

Comments: _____

Overall Reliability Rating: _____ / 5

5. SAFETY

Rating: _____

- ☐ Follows all safety procedures
- ☐ Wears required PPE consistently
- ☐ Maintains clean, organized workspace
- ☐ Reports hazards promptly
- ☐ No at-fault accidents

Incidents:

Near-misses: _____

Accidents: _____

Safety suggestions submitted: _____

Comments: _____

Overall Safety Rating: _____ / 5

6. COMMUNICATION & TEAMWORK

Rating: _____

- ☐ Communicates clearly with supervisors
- ☐ Keeps team informed of issues
- ☐ Helps train/mentor others
- ☐ Positive attitude
- ☐ Constructive in problem-solving

Comments: _____

Overall Communication Rating: _____ / 5

7. INITIATIVE & PROBLEM-SOLVING

Rating: _____

- ☐ Identifies issues proactively
- ☐ Suggests improvements
- ☐ Takes ownership of problems
- ☐ Self-directed and motivated
- ☐ Seeks learning opportunities

Examples: _____

Overall Initiative Rating: _____ / 5

8. ADAPTABILITY

Rating: _____

- ☐ Handles job changes well
- ☐ Learns new processes quickly
- ☐ Flexible with schedules
- ☐ Positive during challenges
- ☐ Open to feedback

Comments: _____

Overall Adaptability Rating: _____ / 5

OVERALL PERFORMANCE SUMMARY:

Total Points: _____ / 40 (average: _____)

Overall Rating:

- ☐ Outstanding (36-40 points)
☐ Exceeds Expectations (32-35 points)
☐ Meets Expectations (24-31 points)
☐ Needs Improvement (16-23 points)
☐ Unsatisfactory (<16 points)

KEY STRENGTHS:

1. _____
2. _____
3. _____

AREAS FOR IMPROVEMENT:

1. _____
2. _____
3. _____

GOALS FOR NEXT REVIEW PERIOD:

Goal #1: _____
Measure of success: _____
Target date: _____

Goal #2: _____
Measure of success: _____
Target date: _____

Goal #3: _____
Measure of success: _____
Target date: _____

DEVELOPMENT PLAN:

Training needed: _____
Cross-training opportunities: _____
Resources/support required: _____

COMPENSATION REVIEW:

Current pay: \$_____ per [hour/year]
Recommended increase: ____% (\$_____)
New pay: \$_____ effective: _____

Bonus (if applicable): \$_____

Justification: _____

EMPLOYEE COMMENTS:

(Space for employee to provide their perspective)

Employee acknowledgment:

I have reviewed this evaluation and discussed it with my supervisor.
My signature does not necessarily indicate agreement.

Employee Signature: _____ Date: _____

REVIEWER COMMENTS:

Additional notes: _____

Follow-up meeting scheduled: _____

Reviewer Signature: _____ Date: _____

Manager/Owner Approval: _____ Date: _____

This completes Part 3 of Appendix T with comprehensive tax planning and employee management templates!

Section 8: Equipment Purchasing and Vendor Management

8.1 Equipment Evaluation Scorecard

Purpose: Compare equipment options objectively.

EQUIPMENT EVALUATION SCORECARD

Equipment Type: _____
Purpose/Need: _____
Budget Range: \ (_____ to \) _____
Decision Date: _____

OPTION A:

Manufacturer: _____
Model: _____
Year (if used): _____ Condition: _____
Price: \$ _____ Delivery: _____ weeks

OPTION B:

Manufacturer: _____

Model: _____
 Year (if used): _____ Condition: _____
 Price: \$_____ Delivery: _____ weeks

OPTION C:
 Manufacturer: _____
 Model: _____
 Year (if used): _____ Condition: _____
 Price: \$_____ Delivery: _____ weeks

SCORING CRITERIA (Rate 1-10, 10 = best):

CAPABILITY & SPECIFICATIONS:	Weight	A	B	C

Work envelope (X/Y/Z capacity)	---	---	---	---
Spindle power/torque	---	---	---	---
Spindle speed range	---	---	---	---
Rapids/feed rates	---	---	---	---
Tool capacity/ATC	---	---	---	---
Table load capacity	---	---	---	---
Control system (features/ease)	---	---	---	---
Accuracy/repeatability specs	---	---	---	---
Thermal stability	---	---	---	---
Rigidity/construction quality	---	---	---	---
Special features needed	---	---	---	---
Subtotal:	---	---	---	---

COST FACTORS:	Weight	A	B	C

Purchase price	---	---	---	---
Financing terms available	---	---	---	---
Delivery/installation cost	---	---	---	---
Training cost	---	---	---	---
Tooling/fixture transfer	---	---	---	---
Expected operating costs	---	---	---	---
Expected maintenance costs	---	---	---	---
Resale value (depreciation)	---	---	---	---
Subtotal:	---	---	---	---

SUPPORT & SERVICE:	Weight	A	B	C

Warranty (length & coverage)	---	---	---	---
Local service availability	---	---	---	---
Service response time	---	---	---	---
Parts availability	---	---	---	---
Technical support quality	---	---	---	---
Dealer/manufacturer reputation	---	---	---	---
Training quality/availability	---	---	---	---
Documentation quality	---	---	---	---
User community/resources	---	---	---	---
Subtotal:	---	---	---	---

OPERATIONAL CONSIDERATIONS:	Weight	A	B	C

Ease of operation	---	---	---	---
Programming compatibility	---	---	---	---
Tooling compatibility (existing)	---	---	---	---
Fixture compatibility	---	---	---	---
Ergonomics/operator comfort	---	---	---	---
Safety features	---	---	---	---
Chip management	---	---	---	---
Coolant management	---	---	---	---
Footprint/space requirements	---	---	---	---
Utility requirements (power, air)	---	---	---	---
Environmental (noise, etc.)	---	---	---	---
Subtotal:	---	---	---	---

STRATEGIC FIT:	Weight	A	B	C
Meets current needs	---	---	---	---
Growth capacity (future needs)	---	---	---	---
Customer perception/credibility	---	---	---	---
Competitive advantage gained	---	---	---	---
Technology currency (obsolescence)	---	---	---	---
Skill transfer from existing equip	---	---	---	---
Diversification opportunity	---	---	---	---
Subtotal:	---	---	---	---

RISK FACTORS:	Weight	A	B	C
Reliability (for used: actual usage)	---	---	---	---
Downtime risk	---	---	---	---
Obsolescence risk	---	---	---	---
Manufacturer stability	---	---	---	---
Learning curve/productivity hit	---	---	---	---
Integration complexity	---	---	---	---
Financial risk/debt load	---	---	---	---
Subtotal:	---	---	---	---

TOTAL WEIGHTED SCORE: --- --- ---

FINANCIAL ANALYSIS:

	Option A	Option B	Option C
Purchase price	\(_____ \)_____		\$_____
Installation/delivery	\(_____ \)_____		\$_____
Tooling/fixtures	\(_____ \)_____		\$_____
Training	\(_____ \)_____		\$_____
Total upfront	\(_____ \)_____		\$_____
Financing details:			
Down payment (___%)	\(_____ \)_____		\$_____
Loan amount	\(_____ \)_____		\$_____
Interest rate	___%	___%	___%
Term (months)	---	---	---
Monthly payment	\(_____ \)_____		\$_____

Annual operating costs:			
Utilities (electric, air, etc.)	\(_____ \)	_____	\$_____
Maintenance/service	\(_____ \)	_____	\$_____
Consumables	\(_____ \)	_____	\$_____
Total annual operating	\(_____ \)	_____	\$_____

ROI ANALYSIS:

Revenue enabled (annual):	\(_____ \)	_____	\$_____
Profit margin (___%)	\(_____ \)	_____	\$_____
Annual profit contribution	\(_____ \)	_____	\$_____
Minus: annual operating costs	\(_____ \)	_____	\$_____
Minus: annual loan payment (x12)	\(_____ \)	_____	\$_____
Net annual benefit	\(_____ \)	_____	\$_____

Payback period (years):	---	---	---
5-year total benefit:	\(_____ \)	_____	\$_____

REFERENCE CHECKS:

Current users contacted:	---	---	---
Overall satisfaction (1-10):	---	---	---
Would they buy again?	Y/N	Y/N	Y/N
Key feedback:	-----		

DECISION MATRIX:

Best overall score:	Option ---
Best value (ROI):	Option ---
Lowest risk:	Option ---
Best strategic fit:	Option ---

RECOMMENDATION: Option _____

Primary reasons:

1. -----
2. -----
3. -----

Concerns to mitigate:

1. -----
2. -----

Alternative if first choice unavailable: Option _____

APPROVAL:

Recommended by: _____	Date: _____
Approved by: _____	Date: _____
Purchase order #: _____	Date issued: _____

8.2 Equipment ROI Calculator

Purpose: Justify equipment purchases with financial analysis.

EQUIPMENT ROI CALCULATOR

Equipment: _____

Purchase price: \$_____ Date: _____

INVESTMENT DETAILS:

Purchase price: \$_____

Shipping/delivery: \$_____

Installation: \$_____

Electrical/facility mods: \$_____

Initial tooling/fixtures: \$_____

Training: \$_____

Commissioning/debugging: \$_____

TOTAL INVESTMENT: \$_____

FINANCING:

[___] Cash purchase (full amount)

[___] Financed:

Down payment (___%): \$_____

Loan amount: \$_____

Interest rate: ___%

Term: _____ years (_____ months)

Monthly payment: \$_____

Total interest: \$_____

Total cost: \$_____

[___] Lease:

Monthly payment: \$_____

Term: _____ months

Buyout: \$_____

Total cost: \$_____

REVENUE GENERATION:

Method 1 - New Capability:

Jobs previously declined (now can do): _____ per year

Average job value: \$_____

Annual revenue enabled: \$_____

Expected margin: ___%

Annual profit contribution: \$_____

Method 2 - Efficiency Gain:

Current machine hours available: _____ hrs/year

New machine hours available: _____ hrs/year

Additional hours: _____ hrs/year

Billable rate: \$_____ /hr

Annual revenue increase: \$_____

Expected margin: ___%

Annual profit contribution: \$_____

Method 3 - Quality/Yield Improvement:

Current scrap rate: ____%

New scrap rate: ____%

Improvement: ____%

Annual production value: \$_____

Annual savings: \$_____

Method 4 - Market Expansion:

New market/customers accessible: _____

Expected annual revenue: \$_____

Expected margin: ____%

Annual profit contribution: \$_____

TOTAL ANNUAL PROFIT CONTRIBUTION: \$_____

COST SAVINGS:

Labor savings:

Hours saved per week: _____

Labor rate: \$_____ /hr

Annual savings: \$_____

Outsourcing elimination:

Currently outsourced: \$_____ /year

Now done in-house at ____% margin

Annual savings: \$_____

Material waste reduction:

Current waste: \$_____ /year

Expected reduction: ____%

Annual savings: \$_____

Maintenance cost reduction:

Old equipment costs: \$_____ /year

New equipment costs: \$_____ /year

Annual savings: \$_____

Other savings:

_____ : \$_____

TOTAL ANNUAL COST SAVINGS: \$_____

TOTAL ANNUAL BENEFIT:

Profit contribution: \$_____

Cost savings: \$_____

TOTAL: \$_____

ANNUAL COSTS:

Financing cost:

Monthly payment x 12: \$_____

OR

Lost interest on cash (____% rate): \$_____

Operating costs:
 Utilities (electric, air): \$ _____
 Maintenance/service: \$ _____
 Consumables: \$ _____
 Insurance: \$ _____
 TOTAL: \$ _____

NET ANNUAL BENEFIT:
 Total benefit: \$ _____
 Minus: Total costs: \$ _____
 NET BENEFIT: \$ _____

ROI METRICS:

Simple Payback Period:
 Investment / net annual benefit
 $\backslash(\text{_____} / \backslash) \text{_____} = \text{_____ years (_____ months)}$

Return on Investment (Year 1):
 $(\text{Net benefit} / \text{investment}) \times 100$
 $\backslash(\text{_____} / \backslash) \text{_____} \times 100 = \text{_____}\%$

5-YEAR PROJECTION:

Year 1:
 Revenue contribution: \$ _____
 Cost savings: \$ _____
 Operating costs: \$ _____
 Financing costs: \$ _____
 Net benefit: \$ _____
 Cumulative: \$ _____

Year 2:
 Revenue contribution: \$ _____
 Cost savings: \$ _____
 Operating costs: \$ _____
 Financing costs: \$ _____
 Net benefit: \$ _____
 Cumulative: \$ _____

Year 3:
 Revenue contribution: \$ _____
 Cost savings: \$ _____
 Operating costs: \$ _____
 Financing costs: \$ _____
 Net benefit: \$ _____
 Cumulative: \$ _____

Year 4:
 Revenue contribution: \$ _____
 Cost savings: \$ _____
 Operating costs: \$ _____
 Financing costs: \$ _____

Net benefit: \$ _____
Cumulative: \$ _____

Year 5:
Revenue contribution: \$ _____
Cost savings: \$ _____
Operating costs: \$ _____
Financing costs: \$ _____
Net benefit: \$ _____
Cumulative: \$ _____

5-Year Total Net Benefit: \$ _____
5-Year ROI: ____%

BREAK-EVEN ANALYSIS:

Monthly net benefit: \$ _____
Months to break even: _____
Break-even date: _____

Utilization needed to break even: ____%
(Break-even revenue / capacity)

RISK ASSESSMENT:

Best case (___% above projection):
Annual benefit: \$ _____
Payback: _____ months

Expected case (as calculated):
Annual benefit: \$ _____
Payback: _____ months

Worst case (___% below projection):
Annual benefit: \$ _____
Payback: _____ months

Risk factors:
1. _____
2. _____
3. _____

Mitigation strategies:
1. _____
2. _____
3. _____

DECISION:

[___] Proceed with purchase - ROI justifies investment
[___] Defer - ROI not sufficient at this time
[___] Alternative approach: _____

Approval signatures:

Prepared by: _____ Date: _____
Approved by: _____ Date: _____

Notes:

8.3 Vendor Evaluation Matrix

Purpose: Assess and compare potential suppliers.

VENDOR EVALUATION MATRIX

Vendor name: _____
Contact: _____
Address: _____
Phone: _____ Email: _____
Website: _____
Products/Services: _____
Evaluation date: _____

RATING SCALE: 1-5 (5 = Excellent, 1 = Poor)

QUALITY METRICS:	Rating
-----	-----
Product/service quality	-----
Consistency batch-to-batch	-----
Defect rate (PPM):_____	-----
Quality certifications (ISO, etc.)	-----
Inspection/testing capabilities	-----
Material certifications provided	-----
Traceability	-----
Returns/rejections process	-----

Quality Score: _____ / 40

Comments: _____

PRICING & VALUE:	Rating
-----	-----
Price competitiveness	-----
Volume discounts available	-----
Payment terms	-----
No hidden fees	-----
Price stability	-----
Freight costs reasonable	-----
Overall value for money	-----

Pricing Score: _____ / 35

Payment terms offered: Net _____ days
Discounts: ___% for _____

Comments: _____

DELIVERY & LOGISTICS: Rating

Lead time (standard):_____ days

Lead time reliability

On-time delivery rate: ____%

Order accuracy (correct items/qty)

Packaging quality

Rush order capability

Delivery flexibility

Tracking/visibility

Local stock/distribution

Delivery Score: _____ / 45

Comments: _____

SERVICE & SUPPORT: Rating

Responsiveness (quotes, questions)

Technical support availability

Problem resolution effectiveness

Proactive communication

Account management

Training/education provided

After-sales support

Warranty support

Service Score: _____ / 40

Comments: _____

RELATIONSHIP & COMMUNICATION: Rating

Ease of doing business

Communication clarity

Flexibility/accommodating

Trustworthiness

Long-term relationship focus

Partnership approach

Relationship Score: _____ / 30

Comments: _____

CAPABILITIES: Rating

Product range/selection

Inventory depth

Custom/special order capability	-----
Technical expertise	-----
Innovation/new products	-----
Value-added services	-----
Capacity to grow with us	-----

Capabilities Score: _____ / 35

Comments: _____

STABILITY & RELIABILITY:	Rating
-----	-----
Financial stability	-----
Years in business: _____	-----
Market reputation	-----
Supply chain reliability	-----
Business continuity planning	-----

Stability Score: _____ / 25

Comments: _____

TOTAL SCORE: _____ / 250

Overall Percentage: _____%

VENDOR CLASSIFICATION:

- [___] Preferred Vendor (>85% - strategic partner)
- [___] Approved Vendor (70-85% - reliable supplier)
- [___] Acceptable Vendor (55-70% - use with caution)
- [___] Not Recommended (<55% - seek alternatives)

RECOMMENDATIONS:

Strengths:

1. _____
2. _____
3. _____

Weaknesses:

1. _____
2. _____
3. _____

Best suited for:

Not recommended for:

Action items:

1. _____
2. _____
3. _____

REFERENCES CHECKED:

Reference #1: _____ Company: _____
Feedback: _____
Rating: _____ / 5

Reference #2: _____ Company: _____
Feedback: _____
Rating: _____ / 5

Reference #3: _____ Company: _____
Feedback: _____
Rating: _____ / 5

TRIAL ORDER RESULTS (if applicable):

Order #: _____ Date: _____ Value: \$ _____
Lead time: _____ days (promised: _____)
Quality: _____ / 5
Accuracy: _____ / 5
Service: _____ / 5
Would order again: [____] Yes [____] No

ANNUAL REVIEW DATE: _____

Evaluated by: _____ Date: _____
Approved by: _____ Date: _____

8.4 Purchase Order Template

Purpose: Standardized PO format for all purchases.

PURCHASE ORDER

[Your Company Name]
[Address]
[City, State ZIP]
[Phone] | [Email]
Tax ID: _____

PO Number: _____ Date: _____
Requisitioned by: _____
Approved by: _____

VENDOR:	SHIP TO (if different):
_____	_____
_____	_____

 Phone: ----- Phone: -----

Payment Terms: ----- Delivery Date: -----
 Shipping Method: ----- FOB: -----
 Account #: ----- Contact: -----

Line	Item Description	Part/Model	Qty	Unit	Amount
1	----- -----	-----	---	\(-----	\)-----
2	----- -----	-----	---	\(-----	\)-----
3	----- -----	-----	---	\(-----	\)-----
4	----- -----	-----	---	\(-----	\)-----
5	----- -----	-----	---	\(-----	\)-----
6	----- -----	-----	---	\(-----	\)-----
7	----- -----	-----	---	\(-----	\)-----
8	----- -----	-----	---	\(-----	\)-----
9	----- -----	-----	---	\(-----	\)-----
10	----- -----	-----	---	\(-----	\)-----

Subtotal: \$-----
 Sales Tax: \$-----
 Shipping: \$-----

 TOTAL: \$-----

SPECIAL INSTRUCTIONS:

TERMS AND CONDITIONS:

1. This PO number must appear on all invoices, packages, and shipping documents.
2. Please notify us immediately if you cannot ship complete order by date specified.
3. Invoice in duplicate after shipment.
4. All items subject to our inspection and approval.
5. Vendor must obtain written authorization for any changes to specifications, quantities, or prices.

Authorized by: _____

Signature: _____ Date: _____

8.5 Receiving Inspection Report

Purpose: Document receipt and acceptance of purchased items.

RECEIVING INSPECTION REPORT

PO Number: _____ Date received: _____

Vendor: _____

Received by: _____

Packing slip #: _____ Shipper: _____

QUANTITY VERIFICATION:

Line	Description	Ordered	Received	Short	Over
1	-----	---	---	---	---
2	-----	---	---	---	---
3	-----	---	---	---	---
4	-----	---	---	---	---
5	-----	---	---	---	---

Quantity OK? [___] Yes [___] No - Discrepancies noted above

VISUAL INSPECTION:

[___] Packaging intact, no damage
[___] Packaging damaged (describe): _____
[___] Items appear correct and undamaged
[___] Items damaged (describe): _____
[___] Documentation included (certs, packing slip, etc.)
[___] Documentation missing: _____

DETAILED INSPECTION (if applicable):

Item #1: _____
[___] Correct part number/specification
[___] Correct material (if verifiable)
[___] No visible defects
[___] Dimensions spot-checked: [___] OK [___] Issue
[___] Certifications reviewed: [___] OK [___] Issue
Notes: _____

Item #2: _____
[___] Correct part number/specification
[___] Correct material (if verifiable)
[___] No visible defects
[___] Dimensions spot-checked: [___] OK [___] Issue
[___] Certifications reviewed: [___] OK [___] Issue
Notes: _____

OVERALL DISPOSITION:

- [___] ACCEPT - all items correct and acceptable
 -> Move to inventory
 -> Approve invoice for payment
- [___] ACCEPT WITH NOTES - usable but issues documented
 -> Notes: _____
 -> Move to inventory
 -> Approve invoice (or request credit if applicable)
- [___] REJECT - return to vendor
 -> Reason: _____
 -> Contact vendor for RMA
 -> Hold items for pickup
 -> Do NOT approve invoice
- [___] PARTIAL ACCEPT - some items accepted, some rejected
 -> Accept lines: _____
 -> Reject lines: _____
 -> Contact vendor for resolution

VENDOR CONTACT (if issues):

Date contacted: _____ Contact: _____
Issue reported: _____
Vendor response: _____
Resolution: _____
RMA #: _____ Expected resolution date: _____

SIGNATURES:

Received by: _____ Date: _____

Inspected by: _____ Date: _____

Approved by: _____ Date: _____

Distribution:

- ☐ Original to accounting (with invoice)
- ☐ Copy to purchasing file
- ☐ Copy to vendor (if rejection)

8.6 Vendor Performance Scorecard

Purpose: Ongoing tracking of vendor performance.

VENDOR PERFORMANCE SCORECARD

Vendor: _____
Review period: _____ to _____
Total orders this period: _____
Total \(\ volume: \)_____

DELIVERY PERFORMANCE:

Orders delivered on time: _____ / _____ = _____%
Target: >95%

Orders delivered early: _____
Orders delivered late: _____
Average days late: _____

Lead time accuracy:
Average promised: _____ days
Average actual: _____ days
Variance: _____ days

Rating: ☐ Excellent (>98%)
 ☐ Good (95-98%)
 ☐ Acceptable (90-95%)
 ☐ Poor (<90%)

QUALITY PERFORMANCE:

Orders received defect-free: _____ / _____ = _____%
Target: >98%

Defects/issues by type:
Wrong item shipped: _____
Wrong quantity: _____
Damaged in shipping: _____
Quality defects: _____
Missing documentation: _____
Other: _____

Total defects: _____
Defect rate (PPM): _____

Returns/rejections: _____ orders
Return rate: _____%

Rating: ☐ Excellent (>99%)
☐ Good (97-99%)
☐ Acceptable (95-97%)
☐ Poor (<95%)

PRICING & VALUE:

Price changes this period: _____
Average change: _____%

Price compared to market:
☐ Best price
☐ Competitive
☐ Average
☐ Higher than competitors

Value for money rating: _____ / 5

Hidden costs encountered:
☐ None
☐ Restocking fees
☐ Shipping upcharges
☐ Other: _____

Rating: ☐ Excellent (best value)
☐ Good (competitive)
☐ Acceptable (fair)
☐ Poor (expensive)

SERVICE & SUPPORT:

Quote response time:
Average: _____ hours (target: <24)

Issue resolution:
Issues reported: _____
Resolved satisfactorily: _____
Resolution rate: _____%
Average resolution time: _____ days

Communication quality:
☐ Proactive and clear
☐ Responsive when contacted
☐ Slow to respond
☐ Poor communication

Technical support:
☐ Excellent - solved our problems
☐ Good - generally helpful
☐ Fair - sometimes helpful
☐ Poor - not helpful

Rating: ☐ Excellent
☐ Good

☐ Acceptable
☐ Poor

OVERALL SCORE:

Delivery performance: _____ / 25
Quality performance: _____ / 25
Pricing & value: _____ / 25
Service & support: _____ / 25

TOTAL: _____ / 100

TREND ANALYSIS:

Previous period score: _____ / 100
Current period score: _____ / 100
Change: _____ (trend: ☐ ↑ ☐ → ☐ ↓)

VENDOR STATUS:

Current classification:
☐ Preferred (score >85)
☐ Approved (score 70-85)
☐ Probation (score 55-70)
☐ Discontinue (score <55)

Action required:

☐ None - continue current relationship
☐ Discuss improvements needed
☐ Reduce order volume
☐ Seek alternative vendors
☐ Discontinue relationship

SPECIFIC ISSUES TO ADDRESS:

1. _____
Target improvement: _____
2. _____
Target improvement: _____
3. _____
Target improvement: _____

VENDOR MEETING NOTES:

Date: _____ Attendees: _____
Topics discussed: _____
Commitments made: _____
Follow-up date: _____

RECOMMENDATIONS:

Continue as: ☐ Primary vendor ☐ Secondary vendor

Order frequency: [___] Increase [___] Maintain [___] Decrease
Categories to use for: _____
Categories to avoid for: _____

Next review date: _____

Completed by: _____ Date: _____
Reviewed by: _____ Date: _____

This completes Part 4 of Appendix T with comprehensive equipment purchasing and vendor management templates!

Section 9: Sales, Marketing, and Customer Management

9.1 Quote Request Form

Purpose: Gather all necessary information for accurate quoting.

QUOTE REQUEST FORM

Date received: _____ Quote #: _____
Requested by: _____
Company: _____
Contact: _____
Phone: _____ Email: _____

REQUEST DETAILS:

Quote due date: _____
Expected order date (if awarded): _____
Project name/reference: _____

PART INFORMATION:

Part name/number: _____
Description: _____

Drawings provided:

[___] PDF attached
[___] Paper drawing (scan needed)
[___] 3D CAD file: _____ format
[___] Sample part provided
[___] No drawing (description only - get clarification!)

Quantity:

Prototype: _____ pieces
Production run: _____ pieces per order
Expected frequency: _____ orders per _____
Annual volume: _____ pieces
[___] One-time order
[___] Repeat potential

Material:

☐ Specified: _____
☐ Our recommendation requested
☐ Customer to supply

Special requirements:

☐ Heat treatment: _____
☐ Plating/coating: _____
☐ Anodizing
☐ Special tolerances: _____
☐ Material certification required
☐ First article inspection (FAI)
☐ PPAP required
☐ AS9102 forms required
☐ Other: _____

DELIVERY REQUIREMENTS:

Lead time requested: _____ days

☐ Flexible
☐ Firm deadline: _____
☐ Rush order (premium pricing acceptable)

Delivery method:

☐ Customer pickup
☐ Ship to: _____
☐ Freight prepaid
☐ Freight collect

Packaging:

☐ Standard packaging
☐ Special packaging required: _____

ESTIMATING CHECKLIST:

☐ Drawing reviewed completely
☐ Tolerances achievable
☐ Material available
☐ Fixtures/workholding needed: _____
☐ Special tooling needed: _____
☐ Operations required: _____

☐ Outside services needed: _____
☐ Lead time feasible
☐ Capacity available
☐ Risks identified: _____

ESTIMATING DETAILS:

Material:

Type: _____ Size: _____ x _____ x _____
Quantity needed (with scrap allowance): _____
Unit cost: \(\) _____ Total: \(\) _____

Setup time:

Estimated hours: _____ @ \(___ /hr = \) _____

Run time per piece:

Estimated: _____ min/piece

Total hours (x quantity): _____ hrs @ \(___ /hr = \) _____

Outside services:

Heat treat: \$ _____

Plating/coating: \$ _____

Other: \$ _____

Total: \$ _____

Tooling (if amortized):

Special tools needed: \$ _____

Amortized over _____ pieces = \$ _____ /piece

Total direct cost: \$ _____

Overhead (____%): \$ _____

Total cost: \$ _____

Margin target: ____%

Setup charge (if separate): \$ _____

Price per piece: \$ _____

Total quote: \$ _____

PRICING STRATEGY:

[____] Standard margin (____%)

[____] Competitive pricing (reduced margin for strategic win)

[____] Premium pricing (tight tolerance, rush, etc.)

[____] Loss leader (to establish relationship)

Competitor pricing (if known): \$ _____

Our position: [____] Lower [____] Competitive [____] Higher

QUOTE PREPARATION:

Quote letter drafted: [____] Yes [____] No

Lead time stated: _____ days

Valid for: _____ days

Payment terms: Net _____

Tooling cost (if separate): \$ _____

NRE charges: \$ _____

MOQ (minimum order quantity): _____

Conditions/exclusions noted:

[____] Customer-supplied material (if applicable)

[____] Dimensions subject to review

[____] Lead time TBD after order

[____] Other: _____

QUOTE REVIEW:

Prepared by: _____ Date: _____

Reviewed by: _____ Date: _____

Approved by: _____ Date: _____

Sent to customer: Date: _____ Method: _____

FOLLOW-UP:

Follow-up date: _____

Status: [___] Pending [___] Won [___] Lost

If won: Order #: _____

If lost: Reason: _____

Competitor: _____

Their price (if known): \$_____

LESSONS LEARNED:

What went well: _____

What to improve: _____

Estimating accuracy (if won and completed):

Estimated hours: _____ Actual hours: _____ Variance: ___%

9.2 Quotation Template

Purpose: Professional, detailed customer quotation.

QUOTATION

[Your Company Logo]

[Your Company Name]

[Address]

[City, State ZIP]

[Phone] | [Email] | [Website]

Quote #: _____

Date: _____

Valid until: _____

TO:

PROJECT:

Attention: _____

Your Ref #: _____

Dear _____,

Thank you for the opportunity to quote on your project. We are pleased to provide the following quotation:

PART DETAILS:

Part Name/Number: _____

Description: _____

Material: _____
Quantity: _____
Operations: _____
Surface Finish: _____
Tolerances: _____

PRICING:

Quantity	Unit Price	Extended
_____ pcs	\(_____	\)_____

Setup charge (if separate): \$_____
Engineering/Programming (if separate): \$_____
Tooling/Fixtures (one-time): \$_____

SUBTOTAL: \$_____
Sales Tax (____%): \$_____
(if applicable)

TOTAL: \$_____

DELIVERY & TERMS:

Lead Time: _____ working days after receipt of order and
approved drawing

Payment Terms: Net 30 (approved accounts)
COD or 50% deposit (new customers)

Shipping: FOB [Your Location]
Estimated freight: \$_____
(actual charges will apply)

Minimum Order Quantity: _____ pieces

CAPABILITIES & QUALITY:

All parts will be manufactured to drawing specifications and
inspected per your requirements. We will provide:

☐ First Article Inspection Report
☐ Material Certifications
☐ Dimensional Inspection Report
☐ Certificate of Conformance
☐ AS9102 (if applicable)

Our facility is: ☐ ISO 9001:2015 Certified

[___] AS9100 Certified
[___] ITAR Registered

EXCLUSIONS & ASSUMPTIONS:

- Pricing based on customer-supplied CAD/drawings
- Customer responsible for design suitability
- [___] Outside services (heat treat, plating, etc.) included
[___] Outside services NOT included - available at additional cost
- Standard packaging included; special packaging extra
- Quote based on information provided; subject to review upon receipt of complete specifications

ACCEPTANCE:

To proceed, please issue a purchase order referencing this quote number. Orders subject to our standard terms and conditions (available upon request).

We appreciate the opportunity to work with you and look forward to manufacturing your parts with the quality and service you deserve.

Questions? Please contact:

Phone: _____
Email: _____

Sincerely,

[Your Name]
[Title]
[Your Company Name]

This quotation is valid for _____ days from the date above.
Pricing subject to change after expiration.

9.3 Customer Information Form

Purpose: Gather essential customer details for new accounts.

CUSTOMER INFORMATION FORM

Date: _____ Account #: _____ (office use)

COMPANY INFORMATION:

Legal Business Name: _____
DBA (if different): _____
Business Type: ☐ Corporation ☐ LLC ☐ Partnership
 ☐ Sole Proprietor ☐ Government
 ☐ Other: _____

Federal Tax ID: _____

CONTACT INFORMATION:

Billing Address:

City: _____ State: _____ ZIP: _____
Phone: _____ Fax: _____
Website: _____

Shipping Address (if different):

City: _____ State: _____ ZIP: _____

PRIMARY CONTACTS:

Owner/President: _____
Phone: _____ Email: _____

Purchasing Contact: _____
Phone: _____ Email: _____

Engineering Contact: _____
Phone: _____ Email: _____

Accounts Payable: _____
Phone: _____ Email: _____

Emergency After-Hours: _____
Phone: _____

BUSINESS DETAILS:

Industry: _____
Years in Business: _____
Number of Employees: _____
Annual Revenue (optional): \$_____

Primary Products/Services: _____

How did you hear about us?

☐ Referral from: _____
☐ Online search
☐ Trade show: _____

☐ Industry directory
☐ Previous experience with our company
☐ Other: _____

CREDIT APPLICATION:

Requested Credit Limit: \$_____
Requested Terms: Net _____ days

Bank Information:

Bank Name: _____
Branch: _____
Account Officer: _____
Phone: _____

Trade References (companies you currently buy from):

Reference #1:

Company: _____
Contact: _____ Phone: _____
Account #: _____ Monthly Volume: \$_____

Reference #2:

Company: _____
Contact: _____ Phone: _____
Account #: _____ Monthly Volume: \$_____

Reference #3:

Company: _____
Contact: _____ Phone: _____
Account #: _____ Monthly Volume: \$_____

PURCHASING INFORMATION:

Expected monthly volume: \$_____
Types of parts/services needed: _____

Typical order size: \$_____
Typical order frequency: _____
Payment preference: ☐ Net terms ☐ Credit card
 ☐ Check ☐ ACH transfer

QUALITY & COMPLIANCE REQUIREMENTS:

☐ ISO 9001 required
☐ AS9100 required (aerospace)
☐ ISO 13485 required (medical)
☐ ITAR compliance required
☐ Material certifications required
☐ First Article Inspection (FAI) required
☐ PPAP required (automotive)
☐ Special certifications: _____

Inspection requirements:

☐ Standard dimensional inspection
☐ CMM inspection reports required
☐ Certificate of Conformance required
☐ Material test reports required
☐ Other: _____

SHIPPING PREFERENCES:

Preferred carrier: _____
Account #: _____
☐ Freight prepaid (bill us)
☐ Freight collect (bill customer)
☐ Customer pickup

Special packaging requirements: _____

AGREEMENT & AUTHORIZATION:

I certify that the above information is true and correct and authorize [Your Company Name] to verify this information and obtain credit reports as necessary to establish credit terms.

I agree to pay all invoices according to payment terms and acknowledge that accounts over 30 days past due will be subject to a ___% monthly late fee and may be placed on credit hold. Customer is responsible for all collection costs including attorney fees.

I have received and agree to [Your Company Name]'s Terms and Conditions of Sale.

Signature: _____
Printed Name: _____
Title: _____
Date: _____

FOR OFFICE USE ONLY:

☐ Credit application approved
☐ Credit limit: \$_____
☐ Terms: Net _____ days
☐ References checked
☐ COD/Prepay required
☐ Personal guarantee required

Approved by: _____ Date: _____

9.4 Customer Communication Log

Purpose: Track all interactions with customers.

CUSTOMER COMMUNICATION LOG

Customer: _____
 Account #: _____ Contact: _____

Date	Type	Subject/Notes	Follow-up
-----	-----	-----	-----

-----	-----	-----	-----

-----	-----	-----	-----

-----	-----	-----	-----

-----	-----	-----	-----

-----	-----	-----	-----

-----	-----	-----	-----

Type Codes:
 Q = Quote request O = Order P = Phone call
 E = Email M = Meeting V = Visit
 I = Issue/Problem F = Follow-up S = Status update

KEY MILESTONES:

First contact: _____
 First quote: _____

First order: _____ (Job #: _____)
Issues/problems: _____ (dates: _____)
Last order: _____ (Job #: _____)
Last contact: _____

9.5 Customer Satisfaction Survey

Purpose: Gather feedback to improve service.

CUSTOMER SATISFACTION SURVEY

Customer: _____
Project/Job #: _____ Date: _____

Thank you for choosing [Your Company Name]! Your feedback helps us improve. Please take a moment to rate our performance.

RATING SCALE: 1 = Poor, 5 = Excellent, N/A = Not Applicable

QUALITY:	Rating
Parts met specifications	-----
Cosmetic appearance	-----
Consistency across the order	-----
Packaging adequacy	-----
Documentation (certs, inspection reports)	-----

Comments: _____

DELIVERY:	Rating
On-time delivery	-----
Lead time met expectations	-----
Communication about status	-----
Shipping/packaging	-----

Comments: _____

SERVICE:	Rating
Quote responsiveness	-----
Ease of placing order	-----
Technical support	-----
Communication throughout project	-----
Problem resolution (if applicable)	-----

Comments: _____

VALUE:	Rating
Price competitiveness	-----
Overall value for money	-----

Comments: _____

OVERALL EXPERIENCE:	Rating
---------------------	--------

Overall satisfaction	-----
----------------------	-------

Likelihood to order again (1-5)	-----
---------------------------------	-------

Likelihood to recommend us (1-5)	-----
----------------------------------	-------

SPECIFIC FEEDBACK:

What did we do well?

What could we improve?

How can we better serve you in the future?

May we use your feedback as a testimonial?

☐ Yes, with company name

☐ Yes, but anonymously

☐ No thank you

ADDITIONAL INFORMATION:

What other services/capabilities would you like us to offer?

How do you prefer to receive quotes/updates?

☐ Email ☐ Phone ☐ Portal ☐ No preference

Would you be interested in:

☐ Quarterly business reviews

☐ Facility tours

☐ Technical seminars/training

☐ Volume discount programs

☐ Consignment inventory programs

Contact person completing survey: _____

Title: _____ Date: _____

Email: _____

Thank you for your valuable feedback!

Please return to:
[Your Name/Title]
[Email]
[Phone]

9.6 Marketing Plan Template

Purpose: Organize marketing strategy and tactics.

ANNUAL MARKETING PLAN

Year: _____ Budget: \$_____

BUSINESS OVERVIEW:

Current annual revenue: \$_____
Revenue goal: \$_____ (___% growth)
Target customer count: _____ (currently: _____)
Average order value target: \$_____

MARKET ANALYSIS:

Target Markets (rank by priority):

1. _____
Market size: \$_____ (local/regional)
Our current penetration: ___%
Growth opportunity: ___%
Key competitors: _____
2. _____
Market size: \$_____ (local/regional)
Our current penetration: ___%
Growth opportunity: ___%
Key competitors: _____
3. _____
Market size: \$_____ (local/regional)
Our current penetration: ___%
Growth opportunity: ___%
Key competitors: _____

COMPETITIVE ADVANTAGES:

1. _____
2. _____
3. _____

BRAND POSITIONING:

We want to be known for: _____

Key message: _____

MARKETING OBJECTIVES:

1. Increase brand awareness in _____ industry by ___%
2. Generate _____ qualified leads per month
3. Achieve ___% customer retention rate
4. Increase average order value by ___%
5. Other: -----

MARKETING STRATEGIES & TACTICS:

DIGITAL MARKETING: Budget

Website:

[] Redesign/refresh	\$_____
[] SEO optimization	\$_____
[] Blog content (_____ posts/month)	\$_____
[] Case studies (_____ per year)	\$_____
[] Video content	\$_____

Social Media:

Platforms: [] LinkedIn [] Facebook [] Instagram
[] YouTube [] Twitter
Posting frequency: _____ times/week \$_____

Paid social ads \$_____

Email Marketing:

[] Monthly newsletter	\$_____
[] Promotional campaigns	\$_____
Email list building	\$_____

Online Advertising:

[] Google Ads (keywords: _____)	\$_____
[] Industry websites	\$_____
[] LinkedIn ads	\$_____

Subtotal: \$_____

TRADITIONAL MARKETING: Budget

Print Advertising:

[] Trade magazines: _____	\$_____
[] Industry directories	\$_____
[] Local business publications	\$_____

Direct Mail:

[] Postcard campaigns (_____ per year)	\$_____
[] Brochures/literature	\$_____

Trade Shows/Events:

Event #1: _____	\$_____
Event #2: _____	\$_____
Event #3: _____	\$_____

Subtotal: \$_____

RELATIONSHIP MARKETING: Budget

Customer Referral Program:

Incentive: _____ \$_____

Networking:

[___] Chamber of Commerce \$_____

[___] Industry associations \$_____

[___] Business networking groups \$_____

Customer Appreciation:

[___] Annual customer event \$_____

[___] Holiday gifts/cards \$_____

[___] Facility tours \$_____

Subtotal: \$_____

CONTENT MARKETING: Budget

[___] White papers (_____ per year) \$_____

[___] Technical guides \$_____

[___] Design tips/resources \$_____

[___] Video tutorials \$_____

[___] Webinars \$_____

Subtotal: \$_____

SALES SUPPORT: Budget

[___] Updated brochures/sell sheets \$_____

[___] Sample parts \$_____

[___] Presentation materials \$_____

[___] Sales training \$_____

[___] CRM system \$_____

Subtotal: \$_____

BRANDING: Budget

[___] Logo refresh/rebrand \$_____

[___] Vehicle graphics \$_____

[___] Signage \$_____

[___] Uniforms/apparel \$_____

[___] Promotional items \$_____

Subtotal: \$_____

TOTAL MARKETING BUDGET: \$_____

MARKETING CALENDAR:

• _____

• _____

• _____

- _____
- _____
- _____

- _____
- _____
- _____

• _____

• _____

• _____

Monthly visitors: _____ (target: _____)
Lead form submissions: _____ (target: _____)
Conversion rate: ____% (target: ____%)

Followers: _____ (target: _____)
Engagement rate: ____% (target: ____%)
Leads generated: _____ (target: _____)

List size: _____ (target: _____)
Open rate: ____% (target: ____%)
Click rate: ____% (target: ____%)

Leads generated: _____ (target: _____)
 Conversion rate: ____% (target: ____%)
 Customer acquisition cost: \ (_____ (target: \)_____)
 Customer lifetime value: \ (_____ (target: \)_____)

- [____] Survey existing market awareness (baseline)
- [____] Track brand mentions/searches
- [____] Monitor referral sources

Q1 Review: _____ Status: _____
Q2 Review: _____ Status: _____
Q3 Review: _____ Status: _____
Q4 Review: _____ Status: _____

Annual Review: _____ Status: _____

RESPONSIBILITIES:

Marketing lead: _____

Budget owner: _____

Content creator: _____

Social media manager: _____

Sales liaison: _____

Notes:

Approved by: _____ Date: _____

9.7 Sales Pipeline Tracker

Purpose: Monitor sales opportunities from lead to close.

SALES PIPELINE TRACKER

Month: _____ Year: _____

PIPELINE STAGES:

Stage 1: Lead (initial contact/inquiry)

Stage 2: Qualified (real opportunity, budget exists)

Stage 3: Quote Submitted

Stage 4: Negotiation

Stage 5: Closed-Won (order received)

or Closed-Lost

ACTIVE OPPORTUNITIES:

Opp ID	Customer	Contact	Stage	Value	Prob %	Exp Close Date
---	-----	-----	---	\$-----	---%	-----
	Next action: -----					
---	-----	-----	---	\$-----	---%	-----
	Next action: -----					
---	-----	-----	---	\$-----	---%	-----
	Next action: -----					
---	-----	-----	---	\$-----	---%	-----
	Next action: -----					
---	-----	-----	---	\$-----	---%	-----
	Next action: -----					
---	-----	-----	---	\$-----	---%	-----

Next action: _____

--- \$_____%
Next action: _____

--- \$_____%
Next action: _____

--- \$_____%
Next action: _____

--- \$_____%
Next action: _____

PIPELINE METRICS:

By Stage:	Count	Total Value	Weighted Value
Stage 1 (Lead) (Probability: 10%)	---	\(_____	\)_____
Stage 2 (Qualified) (Probability: 25%)	---	\(_____	\)_____
Stage 3 (Quote) (Probability: 50%)	---	\(_____	\)_____
Stage 4 (Negotiation) (Probability: 75%)	---	\(_____	\)_____
TOTAL PIPELINE:	---	\(_____	\)_____

Expected revenue this month (weighted): \$_____

Revenue goal: \$_____

Gap: \$_____

NEW LEADS THIS MONTH:

Source	Count	Value
Website	---	\$_____
Referral	---	\$_____
Trade show	---	\$_____
Cold outreach	---	\$_____
Repeat customer	---	\$_____
Other	---	\$_____
TOTAL:	---	\$_____

CLOSED THIS MONTH:

WON:

Customer	Order #	Value	Margin
-----	-----	\$_____	____%
-----	-----	\$_____	____%
-----	-----	\$_____	____%

TOTAL WON: -----
\$-----

LOST:

Customer	Reason	Competitor
-----	-----	-----
-----	-----	-----
-----	-----	-----

Win rate this month: ____% (won / total closed)

Average deal size: \$-----

FOLLOW-UP SCHEDULE:

This week:

[__]	-----	(contact: -----)
[__]	-----	(contact: -----)
[__]	-----	(contact: -----)

Next week:

[__]	-----	(contact: -----)
[__]	-----	(contact: -----)
[__]	-----	(contact: -----)

Aging opportunities (>30 days in stage):

Action needed: -----

This completes Part 5 of Appendix T with comprehensive sales, marketing, and customer management templates!

Section 10: Operations, Risk Management, and Growth Planning

10.1 Production Schedule Template

Purpose: Plan and track daily/weekly shop floor activities.

PRODUCTION SCHEDULE

Week of: ----- to -----

MACHINE: ----- Operator: -----

Mon	Tue	Wed	Thu	Fri	Sat	Sun
-----	-----	-----	-----	-----	-----	-----

Job #	Job #	Job #	Job #	Job #	Job #	Job #
-----	-----	-----	-----	-----	-----	-----
Customer	Customer	Customer	Customer	Customer	Customer	Customer
-----	-----	-----	-----	-----	-----	-----

Part	Part	Part	Part	Part	Part	Part
Qty	Qty	Qty	Qty	Qty	Qty	Qty
Hrs	Hrs	Hrs	Hrs	Hrs	Hrs	Hrs
Due	Due	Due	Due	Due	Due	Due
Status	Status	Status	Status	Status	Status	Status

PRIORITY JOBS (must ship this week):

Job #	Customer	Part	Due	Status
-----	-----	-----	-----	-----
-----	-----	-----	-----	-----
-----	-----	-----	-----	-----

SETUP REQUIREMENTS:

Job #	Setup time	Tools needed	Fixtures	Notes
-----	----- hrs	-----	-----	-----
-----	----- hrs	-----	-----	-----
-----	----- hrs	-----	-----	-----

MATERIAL STATUS:

Job #	Material	On hand?	ETA (if not)
-----	-----	[Y/N]	-----
-----	-----	[Y/N]	-----
-----	-----	[Y/N]	-----

OUTSIDE SERVICES:

Job #	Service	Vendor	Out date	Back date
-----	-----	-----	-----	-----
-----	-----	-----	-----	-----
-----	-----	-----	-----	-----

CAPACITY PLANNING:

Machine	Available hrs	Scheduled hrs	Open hrs
-----	-----	-----	-----
CNC Mill #1	-----	-----	-----
CNC Mill #2	-----	-----	-----
CNC Lathe #1	-----	-----	-----
CNC Lathe #2	-----	-----	-----

Overall utilization: ____%

NOTES/ISSUES:

Monday: _____

Tuesday: _____

Wednesday: _____

Thursday: _____

Friday: _____

Weekend: _____

COMPLETED JOBS (actual vs estimated):

Job #	Est hrs	Act hrs	Variance	Notes
-----	-----	-----	-----%	-----
-----	-----	-----	-----%	-----
-----	-----	-----	-----%	-----

Week reviewed by: _____ Date: _____

10.2 Quality Control Inspection Report

Purpose: Document inspection results for parts.

QUALITY CONTROL INSPECTION REPORT

Job #: _____ Date: _____ Inspector: _____
Customer: _____
Part #: _____ Description: _____
Drawing Rev: _____ Material: _____
Quantity inspected: _____ of _____ total

INSPECTION TYPE:

☐ First Article (initial setup verification)
☐ In-process (during production)
☐ Final (before shipping)
☐ Receiving (incoming material)

INSPECTION METHOD:

☐ Visual
☐ CMM (Coordinate Measuring Machine)
☐ Optical comparator
☐ Manual measurement (calipers, micrometers, etc.)
☐ Functional test
☐ Other: _____

DIMENSIONAL INSPECTION:

Feature/ Dimension	Drawing Nominal	Tolerance	Actual Measured	Accept/ Reject
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----
-----	-----	+/------	-----	-----

GEOMETRIC TOLERANCING (GD&T):

Symbol	Feature	Tolerance	Actual	Accept/Reject
----	-----	-----	-----	-----
----	-----	-----	-----	-----
----	-----	-----	-----	-----

SURFACE FINISH:

Location	Specified	Actual	Accept/Reject
-----	Ra -----	Ra -----	-----
-----	Ra -----	Ra -----	-----

VISUAL INSPECTION:

- [] Surface finish acceptable (no tool marks, scratches)
- [] No burrs or sharp edges
- [] No cracks, porosity, or inclusions
- [] Threads clean and functional (if applicable)
- [] Proper markings/identification
- [] Cleanliness acceptable
- [] Cosmetic appearance acceptable

Defects noted: _____

MATERIAL VERIFICATION:

[___] Material cert reviewed and matches specification
[___] Material marking verified
[___] Hardness tested: _____ (spec: _____)
[___] Other tests: _____

FUNCTIONAL TESTING (if applicable):

[___] Fits mating parts correctly
[___] Moves/operates as designed
[___] Meets performance requirements
[___] Other: _____

Results: _____

OVERALL RESULTS:

Total features inspected: _____
Features in specification: _____
Features out of specification: _____

[___] ACCEPT - All features within specification
Approved for: [___] Continued production
 [___] Shipping

[___] ACCEPT WITH DEVIATION - Minor issues documented
Deviation #: _____
Customer approval: [___] Required [___] Not required
Approved by: _____

[___] REWORK REQUIRED
Issue: _____
Rework instructions: _____
Re-inspect after rework: Date: _____

[___] REJECT - Scrap
Reason: _____
Root cause: _____
Corrective action: _____

SAMPLING PLAN (for production runs):

Sample size: _____ (per lot of _____)
Acceptance criteria: _____ defects max
Actual defects found: _____
Lot disposition: [___] Accept [___] Reject [___] 100% inspect

CORRECTIVE ACTION (if defects found):

Immediate action taken: _____

Root cause identified: _____

Preventive action: _____

Process change required: [___] Yes [___] No
If yes, describe: _____

DOCUMENTATION:

[___] Inspection data recorded
[___] Photos taken (if required)
[___] CMM program saved
[___] Certificate of Conformance prepared
[___] First Article Inspection Report completed
[___] Customer notified (if required)

APPROVAL:

Inspector: _____ Date: _____

Reviewed by: _____ Date: _____

Customer approval (if required): _____
Date: _____

Distribution:

[___] Original to quality file
[___] Copy with shipment
[___] Copy to customer (if required)
[___] Copy to production

10.3 Corrective Action Request (CAR) Form

Purpose: Document and resolve quality or process issues.

CORRECTIVE ACTION REQUEST (CAR)

CAR #: _____ Date issued: _____
Priority: [___] Critical [___] Major [___] Minor

PROBLEM DESCRIPTION:

Issued by: _____
Department: _____
Customer affected (if applicable): _____

Description of problem:

Part/Job affected:

Job #: _____ Part #: _____

Customer: _____

Quantity affected: _____

When discovered: _____

Where discovered: ☐ In-process ☐ Final inspection
☐ At customer ☐ Other: _____

Impact:

☐ Customer return/complaint

☐ Internal scrap

☐ Rework required

☐ Delivery delay

☐ Safety concern

☐ Process inefficiency

☐ Other: _____

Cost impact (estimated): \$_____

IMMEDIATE CONTAINMENT ACTION:

Actions taken to prevent further issues:

Responsible person: _____ Date: _____

Containment verified by: _____ Date: _____

ROOT CAUSE ANALYSIS:

Investigation method:

☐ 5 Whys

☐ Fishbone diagram

☐ Failure mode analysis

☐ Other: _____

Potential causes identified:

1. _____

2. _____

3. _____

4. _____

Root cause determined:

Contributing factors:

☐ Operator error
☐ Inadequate training
☐ Process not followed
☐ Process inadequate
☐ Equipment malfunction
☐ Drawing/specification unclear
☐ Material defect
☐ Tooling issue
☐ Workholding issue
☐ Program error
☐ Setup error
☐ Inspection error
☐ Other: _____

ROOT CAUSE ANALYSIS BY:

Name: _____ Date: _____
 Position: _____

CORRECTIVE ACTION PLAN:

Action #1:
 Description: _____

Responsible person: _____ Target date: _____
 Resources needed: _____

Action #2:
 Description: _____

Responsible person: _____ Target date: _____
 Resources needed: _____

Action #3:
 Description: _____

Responsible person: _____ Target date: _____
 Resources needed: _____

PREVENTIVE ACTION:

To prevent recurrence:

Process changes required:
☐ Update work instructions
☐ Update setup sheets
☐ Revise inspection plan
☐ Additional training
☐ Equipment modification
☐ Tooling change
☐ Fixture modification

☐ Program revision
☐ Drawing clarification needed
☐ Other: _____

Documentation updates:

Document: _____ Rev: _____ Date: _____

Document: _____ Rev: _____ Date: _____

IMPLEMENTATION:

Corrective actions completed: Date: _____

Verification method: _____

Verified by: _____ Date: _____

Effectiveness check scheduled: Date: _____

(Verify actions solved problem - check after 30-90 days)

EFFECTIVENESS VERIFICATION:

Date checked: _____

Problem recurred? ☐ Yes ☐ No

If yes, additional action needed: _____

If no, CAR may be closed.

Verified by: _____ Date: _____

CUSTOMER COMMUNICATION (if applicable):

Customer notified: Date: _____ By: _____

Method: ☐ Email ☐ Phone ☐ Formal letter

Containment action communicated: ☐ Yes ☐ No

Root cause communicated: ☐ Yes ☐ No

Corrective action plan communicated: ☐ Yes ☐ No

Customer approval of plan: ☐ Yes ☐ No ☐ N/A

Customer follow-up required: ☐ Yes ☐ No

CLOSURE:

☐ CAR closed - problem resolved

☐ CAR remains open - actions in progress

Closed by: _____ Date: _____

LESSONS LEARNED:

Key takeaways: _____

Shared with team: Date: _____ Method: _____

Filed in: _____

10.4 Risk Assessment Matrix

Purpose: Identify and prioritize business risks.

BUSINESS RISK ASSESSMENT

Assessment date: _____ Review frequency: Annually

RISK CATEGORIES:

1. Financial Risks
2. Operational Risks
3. Strategic Risks
4. Customer/Market Risks
5. Legal/Compliance Risks
6. Technology Risks
7. Human Resources Risks
8. External/Environmental Risks

RISK RATING:

Probability: 1 = Rare, 2 = Unlikely, 3 = Possible,
4 = Likely, 5 = Almost Certain

Impact: 1 = Insignificant, 2 = Minor, 3 = Moderate,
4 = Major, 5 = Severe

Risk Score = Probability x Impact (max 25)

Priority: 1-8 = Low, 9-15 = Medium, 16-25 = High

IDENTIFIED RISKS:

Risk ID	Description	Prob (1-5)	Impact (1-5)	Score (x)	Priority (H/M/L)
---------	-------------	------------	--------------	-----------	------------------

FINANCIAL RISKS:

F1	Cash flow crisis (large customer late payment)	---	---	---	---
F2	Major customer loss (>20% revenue)	---	---	---	---
F3	Equipment failure requiring expensive repair/replacement	---	---	---	---
F4	Rising material	---	---	---	---

	costs not passed to customers				
F5	Difficulty obtaining credit/financing	---	---	---	---
F6	Economic downturn reducing demand	---	---	---	---
F7	Other: _____ -----	---	---	---	---

OPERATIONAL RISKS:

01	Key equipment breakdown/downtime	---	---	---	---
02	Supply chain disruption (material shortages)	---	---	---	---
03	Quality issue causing customer returns	---	---	---	---
04	Facility issues (fire, flood, power)	---	---	---	---
05	Cyberattack/data loss	---	---	---	---
06	Vendor failure (outside service)	---	---	---	---
07	Other: _____ -----	---	---	---	---

STRATEGIC RISKS:

S1	New competitor with better technology	---	---	---	---
S2	Technology obsolescence (3D printing, etc.)	---	---	---	---
S3	Market shift away from target industries	---	---	---	---
S4	Failure to innovate/expand capabilities	---	---	---	---

S5	Poor strategic decisions	---	---	---	---
----	--------------------------	-----	-----	-----	-----

S6	Other:_____	---	---	---	---

CUSTOMER/MARKET RISKS:

C1	Customer concentration (too dependent on few)	---	---	---	---
----	---	-----	-----	-----	-----

C2	Customer insourcing (buying own machines)	---	---	---	---
----	---	-----	-----	-----	-----

C3	Reputational damage (bad reviews, etc.)	---	---	---	---
----	---	-----	-----	-----	-----

C4	Price pressure from customers	---	---	---	---
----	-------------------------------	-----	-----	-----	-----

C5	Industry decline	---	---	---	---
----	------------------	-----	-----	-----	-----

C6	Other:_____	---	---	---	---

LEGAL/COMPLIANCE RISKS:

L1	OSHA violation/safety incident	---	---	---	---
----	--------------------------------	-----	-----	-----	-----

L2	Environmental violation (coolant, waste)	---	---	---	---
----	--	-----	-----	-----	-----

L3	Tax audit/penalty	---	---	---	---
----	-------------------	-----	-----	-----	-----

L4	Employment lawsuit	---	---	---	---
----	--------------------	-----	-----	-----	-----

L5	Contract dispute	---	---	---	---
----	------------------	-----	-----	-----	-----

L6	Intellectual property issue	---	---	---	---
----	-----------------------------	-----	-----	-----	-----

L7	Other:_____	---	---	---	---

TECHNOLOGY RISKS:

T1	CAM software failure or obsolescence	---	---	---	---
----	--------------------------------------	-----	-----	-----	-----

T2	CNC control system issues	---	---	---	---
----	---------------------------	-----	-----	-----	-----

T3	Computer/network failure	---	---	---	---
T4	Lack of technical skills to support new tech	---	---	---	---
T5	Other: _____ -----	---	---	---	---

HUMAN RESOURCES RISKS:

H1	Key employee loss (machinist, engineer)	---	---	---	---
H2	Inability to hire qualified staff	---	---	---	---
H3	Owner illness/incapacity	---	---	---	---
H4	Employee injury	---	---	---	---
H5	Employee theft/sabotage	---	---	---	---
H6	Labor shortage	---	---	---	---
H7	Other: _____ -----	---	---	---	---

EXTERNAL/ENVIRONMENTAL RISKS:

E1	Natural disaster (flood, tornado, etc.)	---	---	---	---
E2	Pandemic/health crisis	---	---	---	---
E3	Infrastructure failure (power grid, etc.)	---	---	---	---
E4	Political/regulatory changes	---	---	---	---
E5	Other: _____ -----	---	---	---	---

MITIGATION STRATEGIES:

For each HIGH priority risk:

Risk ID: _____ Description: _____

Current controls: _____

Additional mitigation needed: _____

Responsible person: _____ Target date: _____

Risk ID: _____ Description: _____

Current controls: _____

Additional mitigation needed: _____

Responsible person: _____ Target date: _____

Risk ID: _____ Description: _____

Current controls: _____

Additional mitigation needed: _____

Responsible person: _____ Target date: _____

INSURANCE COVERAGE REVIEW:

Policy	Coverage	Adequate?
General Liability	\$_____	[__] Y [__] N
Property Insurance	\$_____	[__] Y [__] N
Equipment Breakdown	\$_____	[__] Y [__] N
Business Interruption	\$_____	[__] Y [__] N
Cyber Liability	\$_____	[__] Y [__] N
Workers Compensation	\$_____	[__] Y [__] N
Commercial Auto	\$_____	[__] Y [__] N
Umbrella Policy	\$_____	[__] Y [__] N

Gaps to address: _____

BUSINESS CONTINUITY PLANNING:

- [__] Backup power solution in place
- [__] Data backup system operational
- [__] Alternative facility identified
- [__] Key supplier alternatives identified
- [__] Cross-training for critical roles

[___] Emergency contact list maintained
[___] Crisis communication plan
[___] Insurance policies adequate

Priority improvements: _____

NEXT REVIEW DATE: _____

Completed by: _____ Date: _____
Reviewed by: _____ Date: _____

10.5 Strategic Growth Plan

Purpose: Map out 3-5 year business growth strategy.

STRATEGIC GROWTH PLAN

Planning horizon: Year _____ to Year _____

CURRENT STATE ASSESSMENT:

Current annual revenue: \$ _____
Current customer count: _____
Current employee count: _____
Current equipment: _____
Current capabilities: _____
Current geographic reach: _____

VISION STATEMENT:

Where we want to be in 5 years:

GROWTH GOALS:

Year 1 (____):
Revenue: \$ _____ (___% growth)
Profit margin: ____%
Customers: _____ (+____)
Employees: _____ (+____)
Key milestone: _____

Year 2 (____):
Revenue: \$ _____ (___% growth)
Profit margin: ____%
Customers: _____ (+____)
Employees: _____ (+____)
Key milestone: _____

Year 3 (____):
Revenue: \$ _____ (___% growth)
Profit margin: ____%

Customers: _____ (+_____)
Employees: _____ (+_____)
Key milestone: _____

Year 4 (____):
Revenue: \$_____ (___% growth)
Profit margin: _____%
Customers: _____ (+_____)
Employees: _____ (+_____)
Key milestone: _____

Year 5 (____):
Revenue: \$_____ (___% growth)
Profit margin: _____%
Customers: _____ (+_____)
Employees: _____ (+_____)
Key milestone: _____

GROWTH STRATEGIES:

MARKET PENETRATION (existing services, existing markets):

- Increase share with current customers: _____
- Target more customers in current markets: _____
- Improve retention rate to: ___%
- Actions: _____

MARKET DEVELOPMENT (existing services, new markets):

- New geographic areas: _____
- New industries to target: _____
- New customer types: _____
- Actions: _____

PRODUCT/SERVICE DEVELOPMENT (new services, existing markets):

- New capabilities to add:
Year 1: _____
Year 2: _____
Year 3: _____
- Required investments: _____
- Actions: _____

DIVERSIFICATION (new services, new markets):

- New directions to explore: _____
- Risks: _____
- Actions: _____

EQUIPMENT INVESTMENT ROADMAP:

Year 1:
Equipment: _____ Est. cost: \$_____
Purpose: _____
Expected ROI: _____%

Year 2:
Equipment: _____ Est. cost: \$_____

Purpose: _____
Expected ROI: ____%

Year 3:
Equipment: _____ Est. cost: \$_____
Purpose: _____
Expected ROI: ____%

Year 4:
Equipment: _____ Est. cost: \$_____
Purpose: _____
Expected ROI: ____%

Year 5:
Equipment: _____ Est. cost: \$_____
Purpose: _____
Expected ROI: ____%

FACILITY PLAN:

Current space: _____ sq ft
Year _____ need: _____ sq ft
Options: ☐ Expand current location
 ☐ Move to larger facility
 ☐ Add second location
 ☐ Stay as is

Estimated investment: \$_____
Timeline: _____

TALENT ACQUISITION PLAN:

Year 1 hires:
Position: _____ Salary: \$_____ Start: _____
Position: _____ Salary: \$_____ Start: _____

Year 2 hires:
Position: _____ Salary: \$_____ Start: _____
Position: _____ Salary: \$_____ Start: _____

Year 3 hires:
Position: _____ Salary: \$_____ Start: _____
Position: _____ Salary: \$_____ Start: _____

Years 4-5:
Anticipated headcount: _____ (from _____ currently)

FINANCING STRATEGY:

Estimated capital needs over 5 years: \$_____

Funding sources:

- Retained earnings: \$_____
- Equipment financing: \$_____

- Line of credit: \$_____
- SBA loan: \$_____
- Investors: \$_____
- Other: \$_____

COMPETITIVE ADVANTAGES TO DEVELOP:

1. _____
2. _____
3. _____
4. _____

POTENTIAL OBSTACLES:

Obstacle #1: _____
Mitigation: _____

Obstacle #2: _____
Mitigation: _____

Obstacle #3: _____
Mitigation: _____

CRITICAL SUCCESS FACTORS:

1. _____
2. _____
3. _____
4. _____
5. _____

ANNUAL REVIEW SCHEDULE:

Year 1 review: _____	Status: _____
Year 2 review: _____	Status: _____
Year 3 review: _____	Status: _____
Year 4 review: _____	Status: _____
Year 5 review: _____	Status: _____

OWNER'S PERSONAL GOALS:

Work-life balance: _____
Income goal: \$_____ by year _____
Exit strategy: _____
Succession plan: _____

Prepared by: _____ Date: _____
Updated: _____ Date: _____

10.6 Exit Strategy Planning Worksheet

Purpose: Plan for eventual sale, transition, or closure.

EXIT STRATEGY PLANNING WORKSHEET

Owner: _____ Age: _____ Date: _____

TIMELINE:

Planned exit date: _____ (_____ years from now)

Ideal transition period: _____ months/years

EXIT OPTIONS:

☐ Sell to outside party

☐ Sell to employee(s)

☐ Pass to family member(s)

☐ Merge with another company

☐ Gradual wind-down/closure

☐ Other: _____

BUSINESS VALUATION:

Current estimated value: \$_____

Valuation method: _____

Desired sale price: \$_____

Value gap: \$_____

Actions to increase value:

1. _____

2. _____

3. _____

FINANCIAL PLANNING:

Retirement income need: \$_____/year

Retirement savings (current): \$_____

Shortfall: \$_____

Debt to be paid off before exit: \$_____

Business proceeds after taxes: \$_____

Sufficient for retirement? ☐ Yes ☐ No

If no, plan: _____

BUSINESS READINESS:

To maximize sale value, needed:

☐ Financial records clean and organized (_____ years)

☐ Documented systems and processes

☐ Strong management team (not owner-dependent)

☐ Diversified customer base

☐ Recurring revenue streams

☐ Up-to-date equipment

☐ Long-term contracts/backlog

☐ Strong reputation/brand

☐ Clean facility

☐ No pending lawsuits/issues

☐ Transferable leases/contracts

Current readiness: ___/10

Improvements needed: _____

SUCCESSION PLANNING:

If internal successor:

Candidate: _____

Current position: _____

Ready to take over: ☐ Now ☐ In _____ years

Development needed: _____

Compensation plan: _____

Ownership transfer plan: _____

If external buyer:

Target buyer profile: _____

Marketing strategy: _____

Business broker needed: ☐ Yes ☐ No

If yes, identified: _____

DOCUMENTATION TO PREPARE:

☐ Operating procedures manual

☐ Customer list with histories

☐ Equipment list with values

☐ Vendor/supplier contacts

☐ Employee records (if transferring)

☐ Financial statements (3-5 years)

☐ Tax returns (3-5 years)

☐ Facility lease/deed

☐ Equipment leases/loans

☐ Insurance policies

☐ Intellectual property documentation

☐ Contracts (customer, vendor)

☐ Software licenses

☐ Other: _____

LEGAL/TAX PLANNING:

Attorney: _____

Accountant: _____

Financial planner: _____

Business broker/M&A advisor: _____

Tax planning strategy: _____

Legal structure considerations: _____

COMMUNICATION PLAN:

When to tell:

Employees: _____

Customers: _____

Vendors: _____

Family: _____

How to ensure confidentiality: _____

Non-compete agreement needed: [___] Yes [___] No

Duration: _____ years

Geographic scope: _____

TRANSITION SUPPORT:

Will owner stay on after sale? [___] Yes [___] No

If yes, duration: _____ months

Role: _____

Compensation during transition: \$_____

Training period for successor: _____ months

Key relationships to transfer: _____

CONTINGENCY PLANNING:

If owner becomes incapacitated:

Person to run business: _____

Authority documented: [___] Yes [___] No (POA, etc.)

Buy-sell agreement in place: [___] Yes [___] No

Life insurance to fund buyout: \$_____

Key person insurance: \$_____

MILESTONES:

_____ years out: _____

_____ years out: _____

_____ years out: _____

_____ years out: _____

Exit year: _____

ANNUAL REVIEW DATE: _____

This plan should be reviewed and updated annually as exit date approaches and circumstances change.

Completed by: _____ Date: _____

Reviewed with advisors: Date: _____

Next update: Date: _____

Appendix T Summary

This appendix provides comprehensive business ownership templates covering:

Part 1: Business Planning & Startup - Business concept worksheets - Legal structure comparison - Pre-launch readiness assessment - Business plan framework - Startup cost calculation - Funding sources planning

Part 2: Financial Management - Chart of accounts - Bookkeeping checklists - KPI dashboards - Job costing - Cash flow projections - Customer profitability analysis - Break-even analysis

Part 3: Tax Planning & Employee Management - Tax planning checklist - Mileage logs - Home office deductions - Job descriptions - Interview questions - Employee onboarding - Performance reviews

Part 4: Equipment & Vendor Management - Equipment evaluation scorecards - ROI calculators - Vendor evaluation matrices - Purchase orders - Receiving inspection - Vendor performance tracking

Part 5: Sales, Marketing & Customers - Quote request forms - Quotation templates - Customer information forms - Communication logs - Satisfaction surveys - Marketing plans - Sales pipeline tracking

Part 6: Operations, Risk & Growth - Production schedules - Quality control reports - Corrective action requests - Risk assessment matrices - Strategic growth plans - Exit strategy planning

All templates are designed to be practical, ready-to-use tools for CNC shop owners at any stage of business development.

This completes Part 6 of Appendix T - Business Ownership Templates!